AN *APPRAISAL REPORT OF:*

THE PROPERTY LOCATED AT:
1227 S Murphy
Odessa, Texas 79766

AS OF:

February 7, 2025

PREPARED FOR:

Janet Woods
Corchem

PREPARED BY:

Deanna Peden
Basin Appraisals, LLC
Odessa, Texas 79765

LETTER OF TRANSMITTAL

BASIN APPRAISALS, LLC
DEANNA PEDEN
3106 San Jose Drive
ODESSA, TEXAS 79765
Phone 432/550-5588 Cell 432/352-2508
Deanna.basinappraisalsllc@gmail.com

March 11, 2025

Janet Woods
1227 S Murphy ST
Odessa, TX 79766

Re: 1227 S Murphy St; Lots 12-21 Block 3, D & S Industrial Park Odessa, Ector County, Texas

Dear Janet Woods, Corchem,

As requested, an *Appraisal* has been made on the above referenced property in Odessa, Texas. The purpose of this appraisal is to give you an estimated Market Value of the Fee Simple Estate of the subject property as of February 7, 2025. A cursory inspection of the subject premises, as well as an analysis of relevant data such as local market trends, pertinent land and whole property sales, if available, and supply/demand demographics has been made. This appraisal has been communicated in a Narrative Summary Appraisal Format.

This appraisal was performed in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were in place at the time this appraisal was prepared. Non-realty items were not included in the value estimate. The estimated Market Value of the Fee Simple Estate, **surface only**, is as follows:

TWO MILLION FIVE HUNDRED THOUSAND DOLLARS
($ 2,500,000)

The value estimate assumes that there is no contamination resulting from the drill sites near the property or other previous or current property usage.

I have no current or contemplated interest in the Subject Property. The payment of the fee for services rendered herein is not contingent upon a predetermined value of the Subject Property.

I appreciate the opportunity to serve you in the preparation of this appraisal report. If there are any questions regarding this letter, please do not hesitate to contact me.

Sincerely Yours,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

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SUMMARY OF SIGNIFICANT FACTS AND CONCLUSIONS

Effective Date:	February 7, 2025
Date of Report:	March 11, 2025
Purpose of Appraisal:	To provide an estimation of Market Value "as is".
Subject Property Information:	
Location	1227 S Murphy Odessa, TX 79766
Acres	10.3919, 4.67 Ac; primary site with Improvements; 5.72 acres excess land: raw land with no water rights
Building Size & Ages	Bldg 1: 800 sf office / 3,200 sf shop/2001 Bldg 2A: 500 sf/2006 Bldg 3: 5,000 sf shop (Receiving)/2011 Bldg 4: 5,000 sf shop (Shipping)/2011 Bldg 5: 564 sf office / 4,436 sf shop/2014 Total 19,500sf Effective Age: 15.3 years
Additional Improvements	Caliche Yard and Parking, 1 Swing Gate, Chain Link Perimeter Fencing, Concrete ramps, pads and slabs.
Land Size	4.67 Acres Caliche yard & 5.72 Acres raw land (no water rights excess land) Total: 10.39 Acres
Zoning:	None
Highest and Best Use:	Commercial Office/Warehouse Raw Land: Storage yard
Indicated Whole Property Value via Cost Approach: NOT APPLICABLE	$3,640,000
Indicated Whole Property Value via Sales Comparison Approach:	$2,400,000

Indicated Property Value via Income Approach:	$2,600,000
Final Value- Fee Simple Estate:	**$2,500,000**

EXTRAORDINARY ASSUMPTIONS

An extraordinary assumption is defined by the *Uniform Standards of Professional Practice* 2014-2015 Edition, (The Appraisal Foundation, page U-3) as "an assumption, directly related to a specific assignment, as of the effective date of the assignment results, which if found to be false, could alter the appraiser's opinions or conclusions. Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

Refer to General Assumptions and Limiting conditions. If any data relied upon is incorrect, the appraiser reserves the right to correct. If the incorrect data skews results, the appraiser reserves the right to revise the appraisal.

Appraiser assumes that the raw land can be cleared and prepared for utilization as a storage yard and have storage or warehouse improvements built on the land.

HYPOTHETICAL CONDITIONS

A hypothetical condition is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-3) as "a condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

The appraiser is applying a hypothetical condition that the excess land, despite being encumbered by the lack of water rights, is suitable for light industrial development.

QUALIFICATIONS OF DEANNA PEDEN

BASIN APPRAISALS, LLC ODESSA, TX 79765

DESIGNATION

State Certified General Real Estate Appraiser - No. TX-1338135-G

EDUCATION

Institution	Location	Degree	Year
Texas Tech University	Lubbock, TX	Master of Science	1987
Texas Tech University	Lubbock, TX	Bachelor of Science	1984
Champions School of Real Estate & Appraisal Institute	Dallas, Houston, San Antonio, Arlington	N/A	N/A

PROFESSIONAL EXPERIENCE

Role	Organization/Location	Duration
General Appraiser	SK Real Estate Appraisal, Hallmark Appraisals Inc., Basin Commercial Appraisals LLC	2005 – Present
Teacher	Ector County Independent School District, Odessa, TX	1989–1992, 1996–1999, 2002–2004
	Loving Municipal Schools, Loving, New Mexico	1992–1993
	Odessa College, Odessa, TX	1991
	Andrews Independent School District, Andrews, TX	1985–1988
Sales Rep.	3M Baker Graphics, Lubbock, TX	1985
Realtor	Sims and Guess Better Homes and Gardens	1995–1996

PROFESSIONAL ORGANIZATIONS

- Association of Texas Appraisers
- Texas Tech Alumni Association

APPRAISAL COURSES

Course Name	Topic
National USPAP Course & Updates	Appraisal Institute's Course 1410N
Basic Appraisal Principles	Appraisal Institute's Courses 100 & 101GR
Basic Appraisal Procedures	Supporting Adjustments: The Journey from…
Basic Income Capitalization	New Construction Essentials: Luxury Homes
General Market Analysis & Highest & Best Use	Measuring 1-4 Unit Residential Properties with ANSI Z765 Standard
Professional's Guide to URAR	Residential Construction and the Appraiser
General Applications	REO Appraisal: Guidelines and Best Practices
Business Practices & Ethics	Manufactured Housing (Synchronous)
Hotel Appraising New Techniques	Focus on FHA Minimum Property Requirements
Land & Site Valuation	Valuation of Residential Solar
Environmental Pollution & Mold	Appraising Complex and Stigmatized Properties
Mortgage Fraud - Appraiser Risk Management	Texas Supervisor – Trainee Course
Appraising 2–4 Family Properties	
Appraising in a Depressed Market	

REPRESENTATIVE APPRAISER CLIENT LIST

- Appraisal Nation
- Community National Bank
- Integrity Appraisal Management
- Mercury Network
- First Basin
- American Momentum Bank
- Patriot Bank
- Frost Bank
- Tejas Bank
- Numerous Individual Clients

SUBJECT PHOTOS

Subject Front

1227 S Murphy St

Gross Living Area 20,421

Subject Rear

Subject Street

Office/Shop Building 1

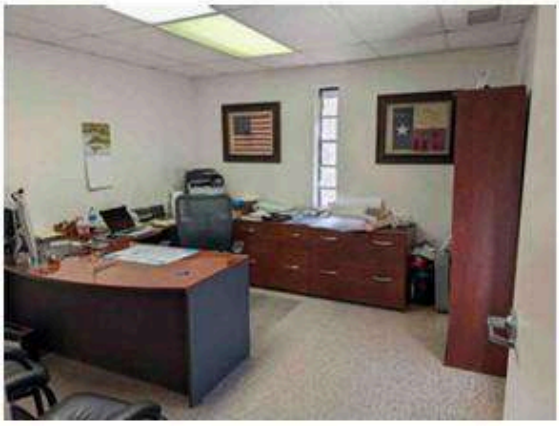
Building One Left View

Building 1
Rear

Building 1 Right View

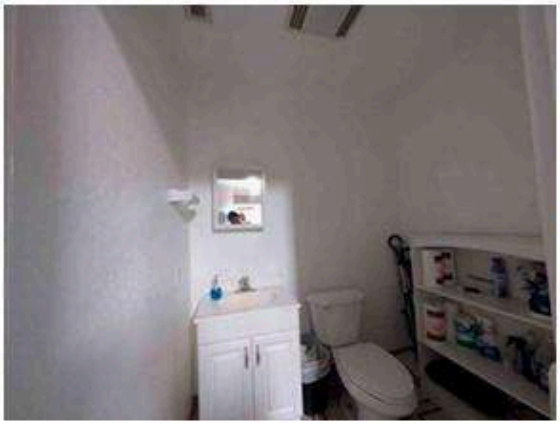
Building 1 HVAC Unit on Concrete Pad

Bldg 1 Executive Office 1



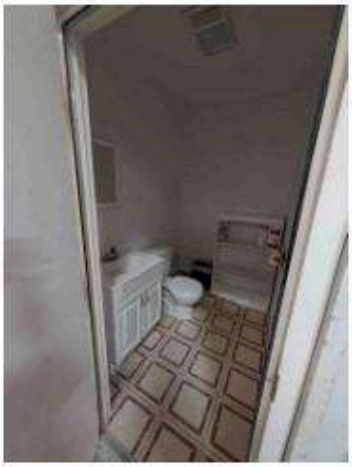
Bldg 1 Executive Office 2

Break Room



Interior Restroom

Office Entrance from Shop



Shop Restroom

Bldg 1 Shop Interior

Building 2A
Front

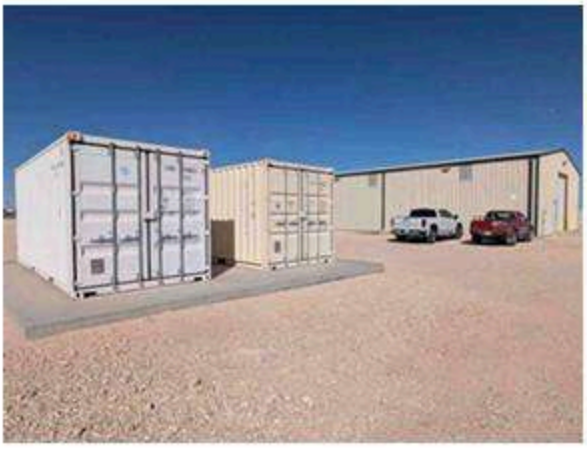
Building 2A
Rear

Building 2A

Bldg 2 interior Freezer

Building 2B & 2C
Hotboxes

Caliche Yard on the North End Next to
Building 3



Storage Crates On Concrete Pad W of Building 5

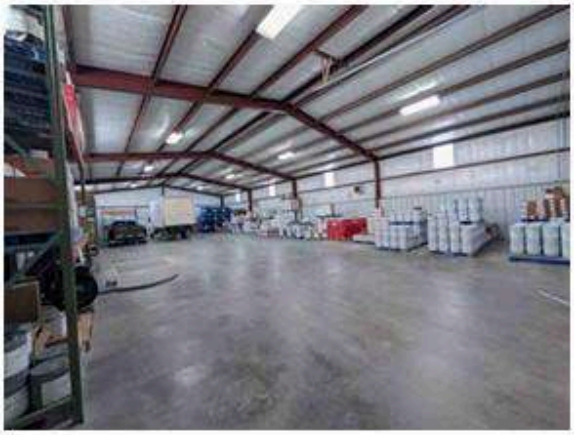
Building 3 Front

Building 3 Rear

Building 3 Interior

Building 4 Front

Building 4 Side



Building 4
Interior

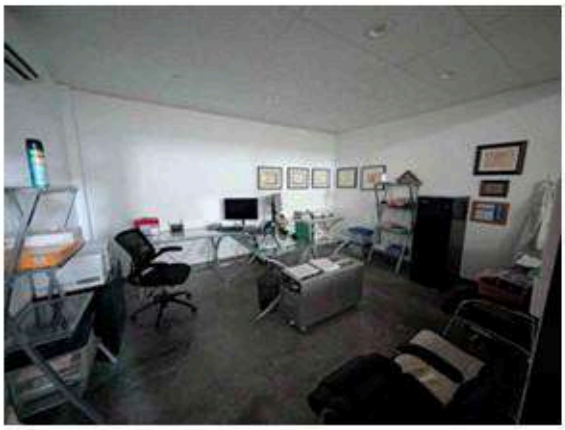
Building 4
Garage Door

Building 5
Front

Building 5
Rear

Building 5
Side

Building 5
Interior



Building 5
Interior Office

Building 5
Interior Office 2

Building 5
Interior Server Room

DEFINITION OF THE PROBLEM

PROPERTY IDENTIFICATION

Local Address	1227 S Murphy Odessa, Ector County, Texas 79766
Legal Description	Lots 12-21 Block 3 D & S Industrial Park
Improved Primary Site	4.67 Acres, Lots 12-14
Excess Land	5.72 Acres, Lots 15-21
APN	07520.00860.00000, 07520.00870.00000, 07520.00880.00000, 07520.00890.00000, 07520.00900.00000, 07520.00910.00000, 07520.00920.00000, 07520.00930.00000, 07520.00940.00000, 07520.00950.00000

PURPOSE OF THE APPRAISAL

The purpose of this report is to provide an estimation of Market Value of the Fee Simple Estate (as defined below by the Office of the Comptroller of the Currency) of the subject property.

DEFINITION OF MARKET VALUE

Regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA).

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure on the open market;
4. Payment is made in terms of cash in United States dollars on in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

EXPOSURE TIME

"'The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort." (Appraisal Standards Board of The Appraisal Foundation, Statement on Appraisal Standards No. 6, "Reasonable Exposure Time in Real Property and Personal Property Market Value Opinions")' *The Dictionary of Real Estate Appraisal*, Fourth Edition p. 105.

The estimate of market value presumes an exposure time of approximate 6-18 months under today's market conditions.

PROPERTY RIGHTS APPRAISED

Fee Simple Estate

DEFINITION OF FEE SIMPLE ESTATE

According to The Dictionary of Real Estate Appraisal, Fourth Edition, published by the American Institute of Real Estate Appraisers, Fee Simple Estate is defined as follows:

"Absolute ownership unencumbered by any other interest or estate, subject only to limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."

INTENDED USER OF THE APPRAISAL

Janet Woods and her assignees. The appraisal has been prepared solely for the use and benefit of the Client and identified intended user(s). No other users are intended or authorized, and no other parties should use or rely on the appraisal or any content in the appraisal for any purpose.

INTENDED USE OF THE APPRAISAL

This appraisal report is to be employed in the decision-making process regarding the market value of the property for estate decisions relative to the real estate.

SCOPE OF WORK / APPRAISAL PROCESS

The appraisal process is the orderly program wherein data employed in estimating the value of the subject property is acquired, classified, analyzed, and presented. The first step in the appraisal process involves defining the appraisal problem. This step includes the identification of the real estate, the effective date of the value estimate, the identification of the property rights being appraised and the type of value being sought. Data is then collected and analyzed. Relevant factors affecting the value of the subject property, such as area and neighborhood analyses, site and improvement analyses, and the highest and best use analysis are considered in estimating the property's value. (Appraisals are NOT property inspections.)

Generally, three approaches to value can be utilized; the Cost Approach, the Sales Comparison Approach, and the Income Approach. The final step in the appraisal process is the reconciliation or correlation of the value indications. In the correlation, the relative applicability and defensibility of each approach is considered; and a final estimate of value is reached.

The term "Scope of the Appraisal" refers to the extent of the process of collecting, confirming, and reporting data. In valuing the subject property, the Sales and Income Approaches to value are utilized for the subject property. The cost approach typically gives a reliable value indication when the improvements are new and represent the highest and best use of the site. The estimation of depreciation variables is difficult, and this makes the cost approach less effective for older properties. The Cost approach will be developed for the property but is **NOT** considered applicable for the final market value for this property. The Sales Comparison Approach will be used for both the land and whole property value. The Sales Comparison is usually the best indication of value for a Fee Simple Estate. The Sales Comparison Approach value is considered the best approach for this fee simple estate. The Income Approach to value will also be developed as there were available leases to obtain a value from this approach as well and several of the Sales Comparables found were sold with leases in place at the time of sale. The Income Approach to Value is typically a good indicator of value for income properties that are being leased. However, it can also provide a good indication of value for any property rights being appraised if data is available. Several

comparable leases were found in the research for this assignment. It is also typically very supportive of the Sales Comparison Approach to Value.

The *Cost Approach* is a method in which the value is derived by estimating the reproduction or replacement cost "new" of the improvements. These estimates are based on consultation with a local general contractor and/or the use of the Marshall/Swift Valuation Service. All applicable forms of depreciation and obsolescence are then estimated and deducted from this cost. The estimates for depreciation and obsolescence are based on observed condition, cost to cure analyses, and abstractions from comparable sales data in the *Sales Comparison Approach.* The resulting depreciated value of the improvements is then added to the market value of the land as derived from the Sales Comparison Approach for the land only.

The *Sales Comparison Approach* is typically used to estimate the value of the site, as well as, to estimate the value of the whole property, land and improvements. In applying this approach on a land only and a whole basis, actual sales of similar properties are researched and analyzed. The value is then estimated based upon the pattern of prices being paid and received in the market. The reliability of this approach is directly related to the quantity and quality of available data, and when adequate data are available, the result is usually a credible market value indication.

In the *Income Approach,* value is estimated based on future benefits to be derived from ownership of a property. This method utilizes comparable rentals to forecast the maximum obtainable economic rent. From this, an allowance for vacancy and credit loss and all expenses associated with ownership are deducted in order to estimate the net operating income. The resulting net operating income is then processed into an indication of value by employing the appropriate capitalization rate. The overall capitalization rate is market oriented being abstracted from comparable sales data. Subject Contract Rent will also be capitalized and compared to the market rent rate obtained through the Income Approach to Value. According to The Appraisal of Real Estate 12th Edition (Appraisal Institute) in the case of a reduced risk due to the long-term lease such as subject a typically required higher capitalization rate is not typically utilized. In this analysis, it is deemed the same as the market rent cap rate.

The final step in the appraisal process involves correlating the valuation techniques into an indication of final market value.

SIGNIFICANT APPRAISAL DATES

EFFECTIVE DATE OF THE APPRAISAL

February 7, 2025

DATE OF REPORT

March 11, 2025

GENERAL ASSUMPTIONS AND LIMITING CONDITIONS

The appraiser has made this report subject to the following general assumptions and limiting conditions.

1. No responsibility is assumed for legal matters or the legal description, including title or encumbrances, that affect the property appraised. Unless otherwise stated, title to the property is assumed to be good and marketable, and the property is further assumed to be free and clear of any or all liens, easements or encumbrances.

2. Competent property management and responsible ownership are assumed.

3. Information furnished by others, upon which all or portions of this report are based, is considered reliable and believed to be true and correct. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can readily be obtained or renewed for any use on which the value estimates contained in this report are based. However, the appraisers give no warranty as to the accuracy of such information.

4. The property areas and dimensions were obtained from sources believed to be reliable. Any maps or sketches may show approximate dimensions and are included only to assist the reader in visualizing the property. The Appraiser(s) have conducted no survey of the property.

5. The assumption is made that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. The appraiser(s) assume no responsibility for such conditions or for arranging for engineering studies that may be required to discover such factors.

6. No Appraiser(s) signing or associated with this report shall be required by reason of this report to appear or give testimony in court, unless specific arrangements have been previously made therefore.

7. The allocation, if any, in this report of the total valuation between components of the property applies only to this report's stated program of utilization. The separate valuations for any components may not be applied

for use in conjunction with any other appraisal and are invalid if so used.

8. The appraised value is predicated on the prevailing financial structure as of the date of this report.

9. Full compliance with all applicable federal, state, and local zoning, use, environmental and similar laws and regulations is assumed, unless otherwise stated.

10. Disclosure of the contents of the appraisal report is governed by the bylaws and regulations of the Appraisal Standards Board.

11. This report has been made only for the purpose stated therein and shall not be used for any other purpose. Neither this report nor any portions thereof (including conclusions as to property value, the identity of the Appraiser(s) signing or associated with this report, or the professional associations or organizations with which they are affiliated) shall be disseminated to any third party without the prior written consent and approval of the Appraiser(s).

12. Deanna Peden and/or contracting appraisal company maximum liability relating to services rendered under this report shall be limited to the charges paid to Deanna Peden and/or contracting appraisal company for the portion of its services or work products giving rise to liability. In no event shall we be liable for consequential, special, incidental, or punitive losses, damages, or expenses even if it has been advised of their possible existence.

13. The client shall indemnify and hold harmless Deanna Peden and/or contracting appraisal company and its personnel from and against any claims, liabilities, costs, and expenses brought against, paid, or incurred by Deanna Peden and/or Basin Appraisals LLC. at any time and in any way arising out of or relating to our services under this report. This provision shall survive the termination of this agreement for any reason.

14. This report may not be included or referred to in any Securities and Exchange Commission filing or other public document.

15. No observation or interpretations on compliance with the American with Disabilities Act are made. We are not experts in this field and realize we are not qualified to make such determinations. Our value estimate is predicated upon the property owner(s) bearing no cost for compliance.

16. On all appraisals subject to satisfactory completion, repairs, or alterations, the appraisal report and value conclusion are contingent upon completion of the improvements in a workmanlike manner.

17. It is assumed that the property or properties conform to all applicable zoning and use regulations and restrictions, unless a nonconformity has been stated, described, defined, and considered in the appraisal report.

18. It is assumed that all required licenses, certificates of occupancy, consents, and other legislative or administrative authority from any local, state, or national, government or private entity or organization have been or can be obtained or renewed for any use on which the opinion of value contained in this report is based.

19. The property is appraised free and clear of any or all liens or encumbrances unless otherwise stated. Property may have a current collateral loan and subject has a current lease that has been extended for one year.

20. All engineering is assumed to be correct. Any plot plans and illustrative material in this report are included only to assist the reader in visualizing the property.

21. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless noncompliance is stated, defined, and considered in the appraisal report.

22. It is assumed that utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

23. The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.

24. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its entirety.

25. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of the appraiser.

26. Unless otherwise stated in this report, we did not observe the existence of hazardous material, which may or may not be present on the property. We have no knowledge of the existence of such materials on, or in, the property; however, we are not qualified to detect such substances. The presence of substances such as asbestos, urea-formaldehyde foam insulation or other potentially hazardous materials may affect the value of the property. The value estimate is based on the assumption that there is no such material on, or in, the property that would cause a loss in value. No responsibility is assumed for any such conditions, or for any expertise or engineering knowledge required to discover them. The client is urged to retain an expert in this field, if desired.

27. The value estimate is based on the assumption that there is no contamination resulting from any drill sites or wells near or on the property if any or other previous property usage. The appraiser is not qualified to make this assessment so you may want to consult an environmental expert in this case if applicable.

GENERAL DATA

MARKET AREA / NEIGHBORHOOD ANALYSIS

According to The Appraisal of Real Estate, 12th Edition, published by the American Institute of Real Estate Appraisers:

> "A neighborhood is a group of complementary land uses, and a district has one predominant land use, whereas the market area within which a subject property competes for the attention of buyers and sellers in the real estate market is the broader term appraisers analyze."
>
> "The term market area refers to an area where market participants live and work. Market area analysis focuses on the four forces – social, economic, governmental, and environmental- that influence value."

The primary goal of the neighborhood analysis is to determine perceivable patterns of growth, structure and change that may detract from or enhance property values. The analysis provides a context in which the property values are estimated.

The property that is the subject of this report is in Ector County, Texas, which is situated approximately equidistant between Fort Worth, Texas and El Paso, Texas. The subject market area includes the Permian Basin which includes the larger cities of Odessa and Midland and many smaller towns and communities within a 60-mile radius. A well-developed transportation system links Odessa/Midland with other major cities in the nation. Odessa is intersected by both State Highway 385 a major north south route, and Interstate Highway 20, one of the primary east-west routes of the interstate highway system. Interstate Highway 20 links Savannah, Georgia with Los Angeles, California and serves Odessa as well. Two other highways join Midland and Odessa, U.S. Highway 80 also called Business Interstate 20 is a four-lane highway connecting the central business districts of the two cities, while State Highway 191, completed in 1984, links the northern portions of Odessa and Midland.

Neighborhood Analysis

Boundaries

The subject neighborhood can best be described as that portion of Ector County situated between E Business Loop 20 to the North, SE Loop 338 to the East, E Pool Rd to the South, and Grandview Ave to the West. The subject property is centrally located within this industrial corridor, benefiting from proximity to major thoroughfares and commercial infrastructure.

These traffic arteries are all man-made barriers which separate the subject neighborhood from different and/or alternate type uses.

E Business Loop 20, also known as U. S. Highway 80, is a four-lane highway with service roads on the north and south as a main traffic artery within the defined neighborhood. This thoroughfare is one of the three connectors between Midland and Odessa. Development along this road, within the subject neighborhood is primarily light industrial/commercial, retail and some office utilizations. Typical developments are many oil field related businesses, industrial service and supply businesses along with many other commercial and light industrial uses.

SE Loop 338 forms the eastern boundary of the subject neighborhood, serving as a key connector between the industrial core and the broader Odessa area. This busy thoroughfare is a multi-lane divided highway that has seen recent roadway enhancements designed to accommodate increasing traffic and support local economic growth. SE Loop 338 provides critical access to several major routes and facilitates the movement of goods and services across the region. Along its length, the corridor is lined with a mix of commercial and light industrial developments, including distribution centers, service providers, and retail establishments that cater to both local businesses and the wider community. Its role as an access point to various employment centers and business districts underscores its importance in linking the subject neighborhood to the region's expanding commercial infrastructure.

E Pool Rd serves as the southern boundary of the subject neighborhood, connecting the western Grandview Ave and the eastern SE Loop 338 boundaries. E Pool Rd plays a key part in defining the spatial and functional character of the neighborhood.

<u>Analysis Overview by Sector</u>

The Interstate 20 corridor between Grandview Avenue (Exit 118) and SE Loop 338 (Exit 121) in Odessa is a mix of industrial facilities, highway-oriented retail/services, and hospitality establishments. This stretch, bounded by E. Business Loop 20 to the north and E. Pool Road to the south, has seen significant commercial activity and recent development. Below is an overview by sector, including notable businesses and new projects in the area.

Industrial & Distribution Facilities

- Family Dollar Distribution Center (DC) – A massive 900,000 sq. ft. warehouse and distribution facility at 3101 E. Interstate 20[1]. This regional distribution hub has been in operation since the late 1990s and is a major employer in the area.

- Saulsbury Industries Headquarters – The corporate headquarters of Saulsbury (an engineering, procurement, and construction firm) is located at 2951 E. Interstate 20[2]. This facility anchors the industrial presence along the corridor and includes large office and shop spaces supporting energy-sector projects.

- Standard Sales Distribution Warehouse – Standard Sales Co. (a beverage distributor) developed a 150,000 sq. ft. distribution warehouse on a 20-acre tract in the Odessa Industrial Development Corporation's JBS Business Park[3]. This facility, just south of Business I-20 near JBS Parkway, expanded the area's industrial base in the 2010s by providing a modern logistics center for beverage distribution.

- Union Pacific Odessa Railport – A major transloading rail facility opened in 2013 at the intersection of Loop 338 and Business I-20 in east Odessa[4]. Operated by Union Pacific Distribution Services, this "railport" handles oilfield pipe, sand, and bulk materials, reducing truck traffic and supporting the region's oil and gas industry. Its presence has solidified this neighborhood as a key logistics hub.

- Oilfield Service & Manufacturing Firms – Numerous energy-sector service companies occupy this corridor. For example, Tarquin (an industrial chemical supplier) operates a facility on E. Pool Road[5], and Holloman Corp. (a pipeline construction firm) has a yard on SE Loop 338 in this area[6]. These and other oilfield service businesses take advantage of the highway access for moving equipment and supplies.

- FedEx Freight Center – A FedEx Freight shipping terminal is located near the

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[1] Family Dollar Distribution Center - Panjiva
[2] Contact | Saulsbury Industries | Engineering, Procurement, Construction
[3] Development projects underway in Odessa | Texas Real Estate Research Center
[4] UP: The Proof is in the Railport
[5] Tarquin, 1911 E Pool Rd, Odessa, TX 79766, US - MapQuest
[6] Holloman Corporation, 190 SE Loop 338, Odessa, TX 79766, US

Grandview exit (Exit 118) at 200 S. Grandview Avenue[7]. This less-than-truckload (LTL) freight facility serves as a regional logistics center for FedEx, handling commercial freight and supporting Odessa's industrial and commercial distribution needs.

Retail & Highway Service Businesses

- **Pilot/Flying J Travel Center** – A major truck stop and travel plaza at the SE Loop 338 interchange (5900 E. Interstate 20) caters to highway travelers and truckers[8]. The Flying J offers fuel (diesel and gasoline), a convenience store, and amenities like showers. An on-site McDonald's restaurant serves food to travelers, making it a busy 24-hour interstate service location.

- **Alon/7-Eleven Fuel Station (Grandview Exit)** – At the Grandview Avenue interchange, an Alon gas station (part of the 7-Eleven/Alon network) is located at 1515 S. Grandview Ave[9]. This station provides fuel, convenience items, and quick snacks right off Exit 118, capturing local and pass-through traffic.

- **Cummins Sales & Service** – A diesel engine and heavy truck service center is situated at 1210 S. Grandview Avenue, just north of I-20[10]. Cummins Sales & Service offers parts and maintenance for commercial trucks and oilfield equipment. Its presence underlines the corridor's role in supporting trucking and industrial machinery needs.

- **Other Services** – The I-20 frontage and nearby streets host various auto/truck-oriented businesses. For instance, a **Fastenal** industrial supply outlet is located at 320 E. I-20 (Suite A) serving local businesses with tools and hardware[11]. Additionally, a **Cummins** engine dealership/service (noted above) and other truck service providers capitalize on the easy interstate access. These retail-service businesses primarily target the industrial market and travelers rather than traditional shoppers.

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[7] FedEx Freight | Service Center Information

[8] All Businesses at Exit 121 (TX-338 Loop; Odessa) along I-20 in Texas | iExit Interstate Exit Guide

[9] All Businesses at Exit 118 (Farm to Market 3503; Grandview Ave) along I-20 in Texas | iExit Interstate Exit Guide

[10] Cummins Sales and Service in Odessa, TX - Trucker Path

[11] Fastenal, 320 E Interstate 20, Ste A, Odessa, TX 79766, US

Hospitality (Hotels and Lodging)

- **MCM Grande Hotel & FunDome** – A full-service hotel and conference center at 6201 E. Business I-20. The MCM Grande is a locally prominent hotel featuring a large indoor atrium ("Fun Dome") with a pool and recreational facilities. It often hosts events, banquets, and accommodates travelers and corporate guests from the energy sector.

- **La Quinta Inn Odessa** – A nationally branded limited-service hotel located at 5001 E. Business I-20. This La Quinta offers mid-tier accommodations for travelers, with close proximity to both the interstate and Business 20. It is frequently used by business travelers and tourists looking for easy highway access.

- **Sleep Inn & Suites and Travelodge** – Two neighboring hotels on East Business 20 serve additional lodging demand. The Sleep Inn & Suites (3101 E. Business Loop 20) and an adjacent Travelodge by Wyndham (3075 E. Business 20) provide economy and mid-range accommodations[12]. These hotels were added in recent years as the area's hotel inventory expanded to support growing visitation (particularly from oil industry workers during boom periods).

- **Hawthorn Suites by Wyndham** – An extended-stay hotel at 201 S. JBS Parkway (near the I-20/Business 20 intersection) offers suite-style rooms for longer-term guests. This hotel caters to business travelers (especially those on extended assignments in the oilfield sector), given its proximity to the industrial parks and the highway.

Recent Commercial Developments and Trends

- **Liberty Energy Regional Headquarters (Under Construction)** – In March 2024, Liberty Energy broke ground on a new $50 million regional headquarters facility in the Leeco Industrial Park, between U.S. Hwy 80 (Business 20) and I-20[13]. This state-of-the-art campus will include corporate offices, a large workshop, a 50,000 sq. ft. warehouse, and a truck wash. Supported by the Odessa Development Corporation (with grants/incentives), the project will retain about 1,000 jobs in Odessa and add up to 500 new full-time positions. This significant investment illustrates the continued growth of industrial operations along the I-20 corridor.

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[12] Book Your Stay - Discover Odessa

[13] Liberty Energy, ODC Break Ground on $50M Regional HQ

- **Ongoing Industrial Expansion** – Over the past decade, the neighborhood has seen steady commercial real estate growth driven by the energy sector. The opening of the Union Pacific **Odessa Railport** in 2013 (a bulk transloading facility) boosted freight capabilities in the area[14]. Around the same time, **Standard Sales** built its large beverage distribution center near JBS Parkway[15]. These developments, along with numerous oilfield service yards, have solidified the area as an industrial hub. The current Liberty Energy project continues this trend, and additional land along E. Pool Rd and Loop 338 is being marketed for future commercial/industrial use[16], indicating a positive outlook for further development.

In summary, the I-20 East Odessa corridor (from Grandview to Loop 338) is characterized by industrial and logistics facilities (distribution centers, rail/trucking services, oilfield support companies), highway-oriented retail services (fuel, truck repair, convenience food), and a cluster of hotels catering to travelers and oil industry personnel. **Notable recent developments** – especially the Liberty Energy headquarters – demonstrate ongoing investment in the area's commercial real estate[17]. These trends are important in a commercial/residential appraisal context, as they reflect the economic vitality of the neighborhood, the demand for commercial land use, and the potential influences on property values in the vicinity.

Market Area

The larger Market Area includes both Odessa and Midland and the area between the cities particularly on the connecting traffic arteries. These areas along with the industrial parks and districts are prominent industrial and commercial areas. A vast amount of new high-end residential and commercial development is occurring all throughout the market area at the eastern edge of Odessa and the western edge of Midland as the two cities grow closer together.

Economic Trends

The Midland–Odessa economy remains closely tied to the energy sector. Oil production in the Permian Basin hit a record high of ~6.2 million barrels per day in mid-2024 despite a reduced rig count, thanks to technological efficiencies[18]. This surge in output underscores the region's economic momentum, as the Permian Basin is often called "the US oil business," holding roughly half of U.S. oil reserves

[14] UP: The Proof is in the Railport
[15] Development projects underway in Odessa | Texas Real Estate Research Center
[16] TBD E Pool Rd, Odessa, TX 79760 | MLS#: 147101
[17] Liberty Energy, ODC Break Ground on $50M Regional HQ
[18] Permian Basin Economic Indicators - Dallasfed.org

and boasting some of the lowest production break-even costs[19]. Employment trends have reflected the energy market's swings – after rapid post-pandemic growth, job numbers dipped slightly in early 2024 (down ~1.4% annualized through June) with losses concentrated in oil-related sectors[20]. Still, unemployment remains low by state standards, and wages – while briefly softening – are generally high due to oilfield demand. Local experts maintain an optimistic outlook, projecting continued economic expansion over the next five years driven largely by oil and gas[21]. At the same time, the area is pursuing diversification in sectors such as healthcare, aerospace, data centers and even renewable energy (e.g. wind, solar, carbon capture) to broaden its economic base[22]. This balancing act – leveraging energy wealth while attracting new industries – is set to define Midland/Odessa's economic trajectory moving forward.

Population Growth & Demographics

The Midland/Odessa region has experienced steady population growth, largely mirroring the boom-bust cycles of the energy industry. Coming off the 2010s oil boom, Midland's population jumped over 16% from 2012 to 2022[23] (reaching an estimated 182,000 in the metro area by 2023[24]). Odessa's population has grown as well – roughly 11% growth over the last decade[25] – placing the combined metro area around 365,000 residents. Recent estimates show growth continuing post-COVID, with Midland city up 4.4% since 2020 (to ~138,000 residents)[26] and Odessa city hovering around 116,000. Much of this rise is driven by in-migration of workers attracted by oilfield jobs, alongside relatively high birth rates.

Demographically, the area skews young and family-oriented – the median age is about 32–33, a few years below the U.S. average[27] [28]. This reflects the influx of working-age adults in energy and supporting industries. Education and income levels are mixed – oil careers have attracted a high-skilled contingent (Midland boasts nearly twice the national average concentration of engineers[29]), yet the area also includes many blue-collar workers. Median household incomes are solid

[19] Commercial Real Estate in the Permian
[20] Permian Basin Economic Indicators - Dallasfed.org
[21] Midland, Odessa economies to grow significantly, economist says
[22] Midland Economic Development | TxEDC
[23] The West Texas Region
[24] Population of Midland TX
[25] The West Texas Region
[26] Population of Midland TX
[27] The West Texas Region
[28] Population of Midland TX
[29] Midland Economic Development | TxEDC

(around $83K in Midland MSA[30]) thanks to lucrative energy wages. Overall, the population trend is one of moderate growth, tied to the health of the energy sector: rapid expansions during oil booms, tempered by plateaus (or slight declines) during downturns. As the local economy diversifies, population growth is expected to remain positive, albeit at a manageable pace.

Real Estate Trends - Residential Market

Home prices in Midland–Odessa have climbed significantly in the past year (2024), driven by both demand and inflation in construction costs. As of mid-2024, the median existing home price in the region reached about $319,000, up 10.3% year-over-year[31]. Even with higher mortgage rates nationally, the local housing market stayed resilient thanks to the influx of workers and relatively limited supply. That said, sales activity has cooled from its frenzied peak. Home sales in the Permian Basin in June 2024 were roughly flat month-over-month but down nearly 13% from a year prior – in fact, Midland and Odessa home sales are about 26% below the boom-time peak of May 2022. This pullback in transactions has led to a gradual rise in housing inventory. Midland now has about 3.1 months of housing supply, slightly above pre-pandemic levels, while Odessa sits at 2.1 months, still below its 2019 norm. For context, a six-month supply is considered a balanced market, so both cities remain undersupplied, especially Odessa. Housing demand therefore continues to outstrip supply, keeping upward pressure on prices, but buyers have gained a bit more leverage than during the recent oil boom.

To accommodate growth, a number of new residential developments are in the pipeline. For example, Odessa officials recently approved a planned subdivision of 552 single-family homes with parks and dog-friendly amenities on the city's east side[32]. Likewise, a large 159-acre mixed-use project (proposed by a local developer) will bring *"resort-style"* living to the area – including a golf course, equestrian center, and upscale housing – marking Odessa's first venture into a true mixed-use community. In Midland, builders are also active: infill housing and new subdivisions are expanding options on the city's fringes, and multi-family projects (e.g. planned apartments and townhomes) aim to ease the tight rental market. Overall, the residential real estate scene is characterized by rising home values and developers racing to keep up with population and job growth. While higher interest rates and increased inventory have introduced a bit of balance, the market remains strong, buoyed by the region's economic optimism going into 2024.

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[30] Population of Midland TX

[31] Permian Basin Economic Indicators - Dallasfed.org

[32] CitizenPortal.ai - New housing development proposal sparks community debate

Real Estate Trends - Commercial Market

The commercial real estate sector in Midland/Odessa is seeing divergent trends across retail, office, and industrial segments as it adapts to the post-pandemic economy:

- Retail: The retail market is expanding aggressively, fueled by population gains and rising incomes. Several high-profile projects are underway that will reshape the shopping and entertainment landscape. Notably, Bass Pro Shops has broken ground on a 100,000 sq. ft. "Outdoor World" superstore – scheduled to open in spring 2025 – which will anchor the new 158-acre Dorado Destination retail center along State Hwy 191[33]. This destination retail project (a partnership with developer ICA Properties) is expected to draw shoppers from across the Permian Basin. Similarly, Costco is investing in a major store in west Midland, with city leaders touting it as the largest Costco in Texas at ~174,000 sq. ft[34]. The arrival of Costco is slated to kick-start a new retail corridor along the SH 191 corridor in Midland, attracting restaurants and ancillary stores to serve the influx of regional shoppers. Beyond big-box stores, mixed-use lifestyle projects are also advancing. In central Midland, the Summit Center – a 20-acre development featuring shops, dining, office space and a 4-acre park – opened in 2024, creating a family-friendly community hub[35]. These investments have kept retail vacancy rates low (many national chains and local entrepreneurs are vying for space), and they signal strong retailer confidence in the local consumer base. Overall, retail real estate is a bright spot, with new entrants and expansions positioning the Midland/Odessa market as a regional shopping destination.

- Office: In contrast, the office market remains soft. The energy downturn of 2020 and the rise of remote work left the area with elevated office vacancies that it is still working through. Midland's office vacancy rate was about 28% in 2023, among the highest in Texas[36]. Demand for large office spaces has been slow to recover, as many oil companies downsized footprints or subleased space after 2020. Developers have responded by *rethinking* and repurposing under-used office properties. A striking example is the former six-story Chase Bank building in Midtown Midland: finding that *"big office buildings have not*

[33] Bass Pro Shops moving into Odessa | Texas Real Estate Research Center

[34] News Flash • Destination transformation in Midland just star

[35] Neighbors Call Development of Summit Center in Midland 'good for the Community'

[36] Midland Office Rent Price & Sales Report - CommercialCafe

been in high demand since the pandemic," the owners demolished the structure to redevelop the site for restaurants and retail instead[37]. Multiple new restaurant and convenience store pad sites are planned there, illustrating the preference for commercial uses that generate foot traffic over speculative office towers. New office construction is minimal – limited mostly to build-to-suit projects for specific tenants (often in the medical or public sector). On a positive note, the overall employment growth in 2023-24 has begun to chip away at office vacancy, and leasing activity for small-to-midsize professional spaces has improved somewhat. However, given the ample existing inventory, office rents remain competitive and landlords are offering incentives. Until job growth accelerates further (or older stock gets absorbed or converted), the office sector is likely to lag other real estate segments.

- Industrial: The industrial real estate market is booming, underpinned by the region's energy logistics needs. Warehouse, yard, and flex-space demand is robust, as oilfield service companies, manufacturers, and distributors expand operations. Midland's industrial vacancy was only ~6% as of Q1 2024, slightly below the U.S. average, after about 280,000 sq. ft. of space was absorbed in the past year[38]. Odessa's industrial sector mirrors this strength – tenants there absorbed over 220,000 sq. ft. in the past year, driving rents up ~4% and pushing vacancies down (though Odessa's industrial vacancy is still a tad higher, it narrowed by 1.5% over the year)[39]. New construction is occurring but remains targeted. A headline project is Liberty Energy's new regional headquarters in Odessa, a $50 million complex in the Leeco Industrial Park that will include a 42-bay maintenance shop, six-bay truck wash, a 50,000 sq. ft. warehouse, and a two-story office/training center[40]. This massive facility, now under construction, is consolidating Liberty's operations and will allow room for an additional 500 employees – a major investment in local infrastructure. Another transformative project is Nacero Inc.'s planned $7 billion Penwell plant, just west of Odessa, which will produce gasoline from natural gas. Slated to begin production in 2025, the Nacero plant (one of the largest industrial investments in West Texas) has spurred ancillary industrial activity and construction in the area. Given these developments and a "manageable" pipeline of new projects, analysts expect industrial vacancies to remain contained going forward. The combination of sustained energy-sector demand and the region's growing role as a logistics hub (Midland's rail, highway and air connections make it a staging ground for

[37] Midland redevelopment to bring new retail, restaurants to former bank
[38] Q1 2024 Market Recap | West Texas
[39] Q1 2024 Market Recap | West Texas
[40] Liberty Energy to build regional headquarters in Odessa

Permian operations) keeps this segment extremely healthy. In short, industrial real estate is a hot commodity, and it continues to expand in tandem with the Permian Basin's needs.

Major Infrastructure Projects

Midland and Odessa are investing heavily in infrastructure upgrades to support growth and improve quality of life. Several significant projects – from highways to downtown redevelopment – are underway or planned:

- Interstate 20 Widening: The most ambitious initiative is the overhaul of I-20, the key east-west freeway through Midland/Odessa. In late 2024, TxDOT launched a $424 million I-20 corridor improvement program spanning ~11 miles of the metro area[41]. This project will add main lanes, rebuild interchanges, and reconfigure frontage roads to one-way travel for safety. Construction kicked off with frontage road rebuilds (shifting traffic patterns in 2024) and is ramping up to major work in 2025. New interchange construction is slated at Faudree Road and County Roads 1300 & 1260 in East Odessa, addressing what were high-congestion, high-crash intersections. The improvements will enhance mobility and freight movement along I-20, which sees heavy truck traffic from the oil fields. As part of this effort, by mid-2024 all I-20 frontage roads were converted to one-way traffic flow (a significant change from the previous two-way frontage system). The interstate widening and redesign is a multi-year endeavor, but upon completion it will greatly increase capacity, reduce bottlenecks, and improve connectivity between Midland, Odessa, and surrounding communities.

- Highway and Loop Upgrades: Beyond I-20, other road projects are addressing growing traffic demands. A notable example is the State Highway 191 at FM 1788 intersection expansion, where Midland and Odessa meet near the airport. In April 2024, officials broke ground on a $10.7 million project to widen that busy intersection, add turn lanes and pave new turnarounds. This will relieve a known choke-point used by commuters and oilfield trucks between the two cities. Looking ahead, long-range plans call for widening Midland's Loop 250 (the city's main loop road) to six lanes and modernizing its interchanges[42]. Similarly, Odessa's Loop 338 has identified needs for expansion and safety improvements. One visionary plan in the Forward 50 regional transportation blueprint is to establish an Interstate 27 connector to the Permian Basin – effectively extending I-27 from Lubbock down to Midland/Odessa. The proposal would upgrade existing routes (like

[41] TXDOT plans $424M I-20 upgrades in Midland, Odessa

[42] MPO releases long-term plans for I-27 construction, Loop 250 improvement

SH 349 and FM 1788 via the Craddick Hwy) into an interstate-grade facility that ties into I-20. While this is a long-term project, local leaders consider it crucial for boosting commerce (part of the Ports-to-Plains Corridor initiative). All of these road and highway investments aim to improve safety, reduce congestion, and facilitate the region's continued expansion.

- Downtown & Civic Developments: Infrastructure investment isn't limited to transportation – both cities are channeling funds into urban development and amenities. In downtown Midland, a major public-private venture is the Omni Midland Hotel, a full-service 135-room hotel with a rooftop pool, ballroom (7,000 sq. ft.), and 15,000 sq. ft. of meeting space[43]. Odessa has its own downtown initiatives, including facade improvements and plans for a hotel/conference center, though those are in earlier stages.

- Community & Recreational Infrastructure: The cities recognize that quality-of-life infrastructure is vital for attracting and retaining residents. Midland completed new Little League baseball fields at Reyes-Mashburn-Nelms Park and approved a multi-million dollar upgrade to the 36-hole Hogan Park golf facility (including new irrigation and turf). There are also plans for an indoor sports hub: a $30+ million basketball/volleyball center at the Scharbauer Sports Complex, expected to host regional tournaments once finished. These investments will bolster sports tourism and local recreation, bringing in tournaments and revenue while giving residents first-class facilities. Odessa, for its part, is working on a new parks Master Plan to add to the modern aquatic centers and outdoor sports fields through school and city partnerships. A large donation of land to the city of Odessa from the Amy Bell Family of around 100 acres on the NE side of town is slated to be a large sports complex with indoor and outdoor facilities.

- Business Parks & Other Investments: Industrial infrastructure is growing through dedicated business parks. Midland's Spaceport Business Park, adjacent to the Midland International Air & Space Port, continues to attract aerospace and defense companies with "shovel-ready" sites and R&D facilities (drawing firms like AST SpaceMobile and Firehawk Aerospace). In Odessa, the ODC (Odessa Development Corporation) is supporting the build-out of industrial parks like Leeco (site of the new Liberty Energy campus) and others, with improved roads and utilities to accommodate large employers. Additionally, both city and county governments are investing in water and sewer expansions to newly developed areas, and in strengthening the electric grid capacity – critical needs noted by industry experts for

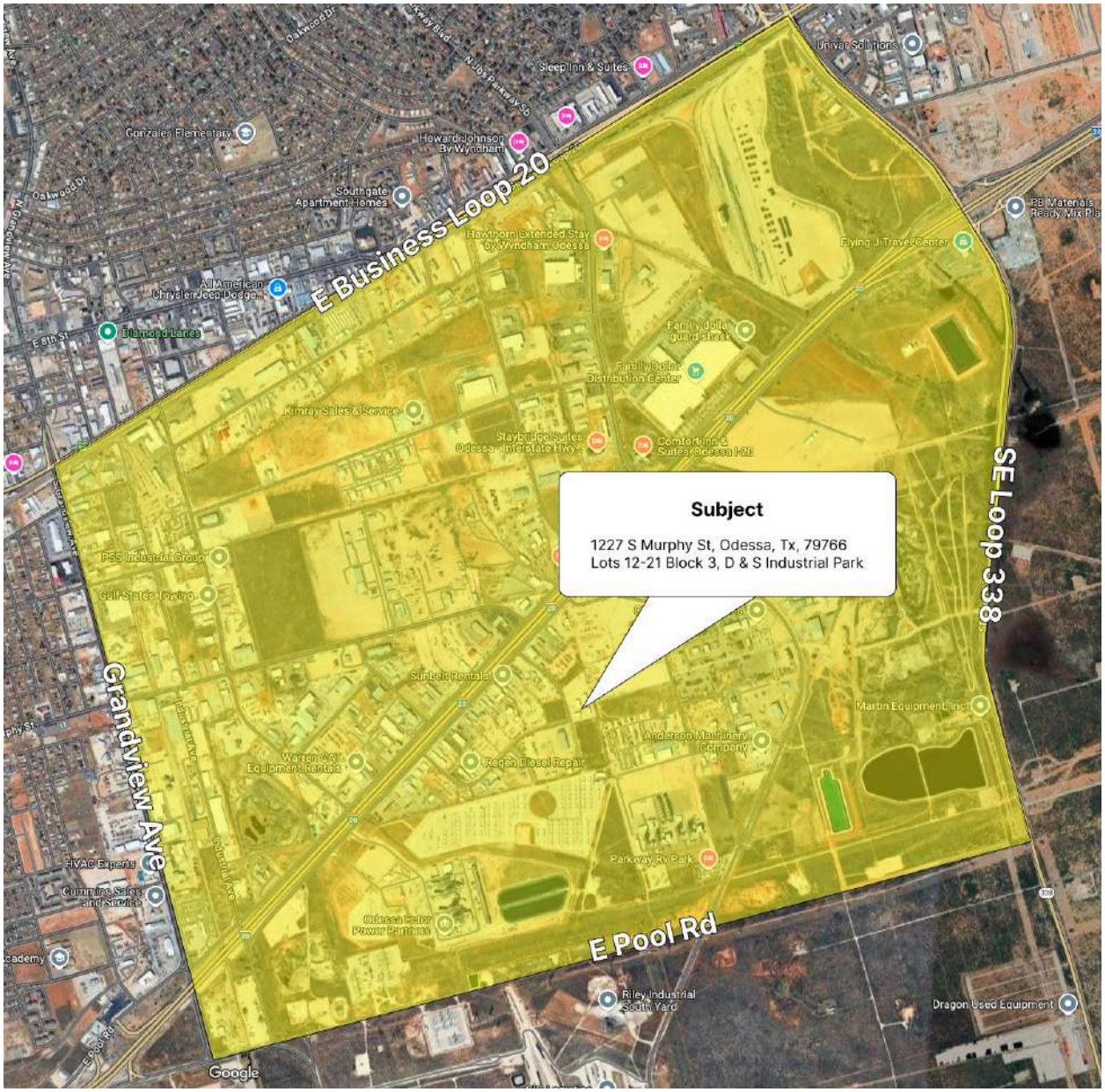
[43] City of Midland - News Flash • Destination transformation in Midland

sustaining long-term growth[44].

All told, Midland/Odessa's infrastructure upgrades – from highways to hotels – reflect a region in the midst of evolution. Officials are proactively addressing bottlenecks (road congestion, overtaxed civic facilities) that arose from the last energy boom, while laying groundwork for future expansion. These projects not only improve daily life (safer roads, more amenities) but also enhance the local business climate, ensuring the Midland/Odessa area remains an attractive place to live, work, and invest for years to come.

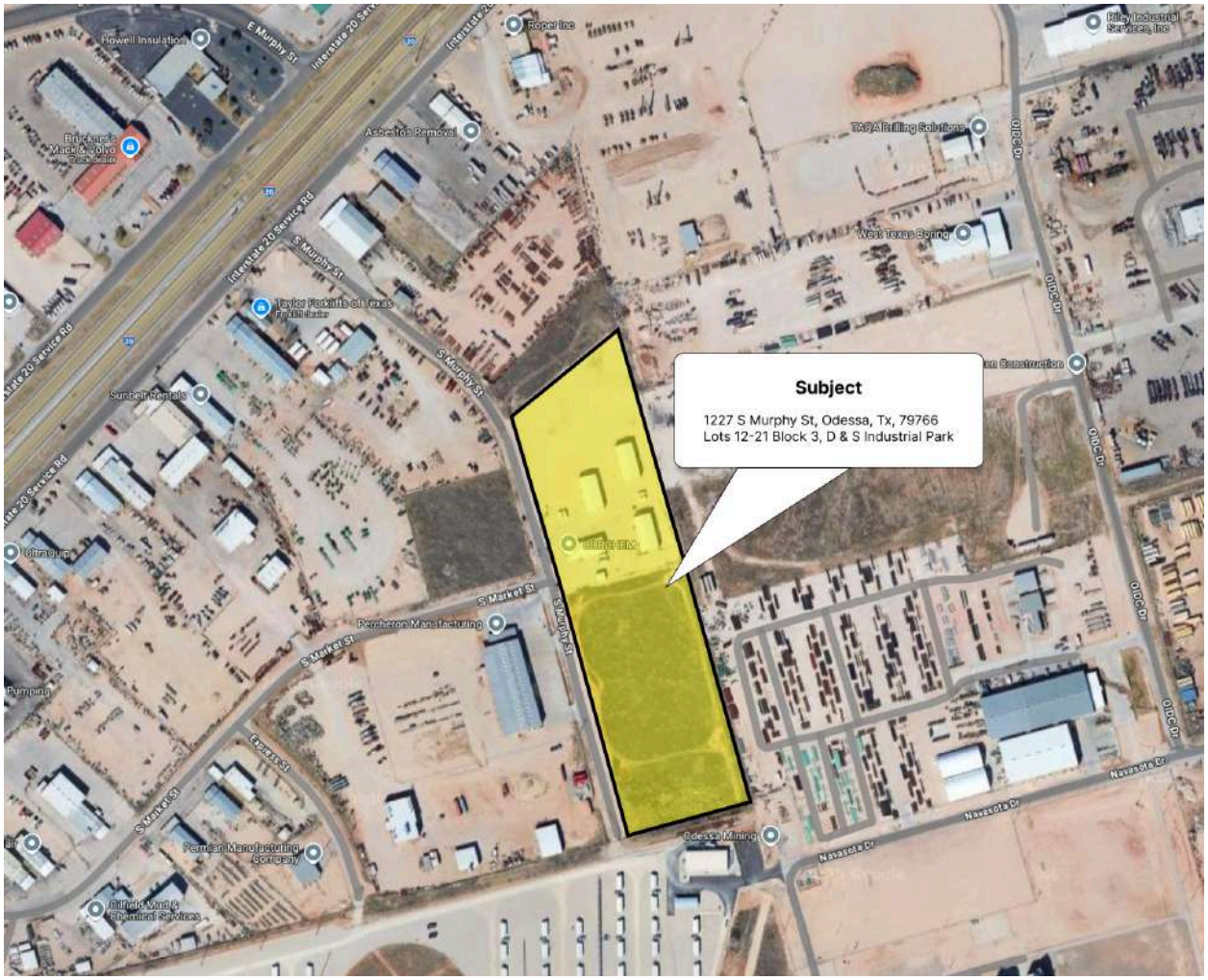
[44] Midland, Odessa economies to grow significantly, economist says

NEIGHBORHOOD MAP



SUBJECT PROPERTY ANALYSIS

SITE ANALYSIS



Location

1227 S Murphy Odessa, Ector County, Texas 79766

Size and Configuration

The subject is a mostly rectangular shaped tract of land approximately containing about 10.39 acres or ~452,671 square feet. Primary access to the property is provided by South Murphy Street. .

Topography/Drainage

The topography of the property appears to be basically level; however, there appears to be enough slope to allow for adequate water drainage.

Soil and Subsoil Conditions

The appraiser was not furnished a soil or subsoil survey; however, it is assumed that the soil and subsoil conditions are typical of the West Texas Area and will not require excess footings and/or foundations. The appraiser, however, is not qualified to detect any defective condition, so the client is urged to retain an expert in the field if desired.

Zoning

The majority of the subject site is located mostly outside the city limits with only the north part of Lot 12 (0.54 acres) being in the city limits zoned as Light Industrial Drill Reservation. The rest of lot 12 through lot 21 has no zoning restrictions. It is located within the Extra Territorial Jurisdiction of Odessa. Some restrictions or services may be required or provided as a result. No information about what these could be was found and no one at the city could provide the information. Surrounding developments are mostly light commercial/industrial such as subject. Property lies within the extraterritorial jurisdiction in the city of Midland in which certain regulations and ordinances apply.

Property Taxes

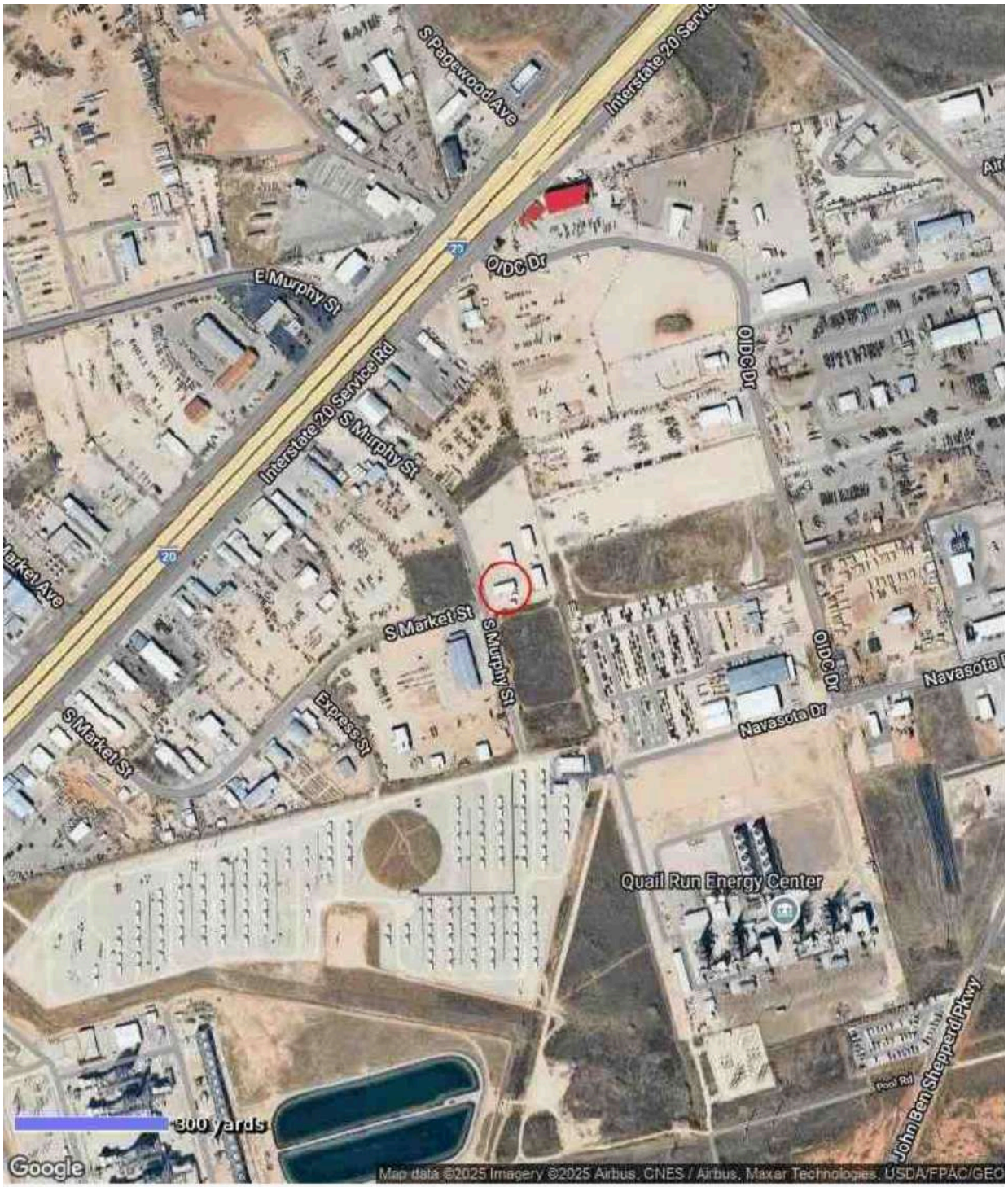
The subject property is located in Odessa, Ector County, Texas and is taxed based on values established by the county tax assessors. The tax rates are applied to the assessed value of the subject property, and the taxes for the subject property are then estimated. The taxes are estimated per $100 of assessed value. This property is subject to taxes for the Ector County Independent School District, Ector County Hospital District, Ector County, and Odessa College. The 2024 combined tax rate for these authorities is 0.016413. The 2024 taxes were $19,431.93 with an evaluation by the Ector County Appraisal District of $1,183,966 net assessed value for each parcel as noted in the Property Identification section above.

The subject displays a combined assessment of $1,183,966. With the appraised value on the effective date of $2,500,000 the taxes of the market value would be approximately $41,032.50.

Flood Plain

According to FEMA Map #48135C0355E of March 12, 2012, the subject property is in FEMA Zone X, and is **NOT** in a FEMA Special Hazard Flood Area. The client is urged to retain an expert in the field if necessary.

Flood Map



MAP DATA

FEMA Special Flood Hazard Area: **No**
Map Number: **48135C0355E**
Zone: **X**
Map Date: **March 15, 2012**
FIPS: **48135**

MAP LEGEND

Powered by CoreLogic®

- Areas inundated by 500-year flooding
- Areas inundated by 100-year flooding
- Velocity Hazard
- Protected Areas
- Floodway
- Subject Area

Utilities and Public Services

Utilities/Services	Provided By
Electricity	Oncor Delivery
Natural Gas	Atmos Energy
Telephone/Internet	Sparklight, Astound Broadband, AT&T, Suddenlink etc.
Police and Fire Protection	City of Odessa
Water and Sewer	Water Well and Septic

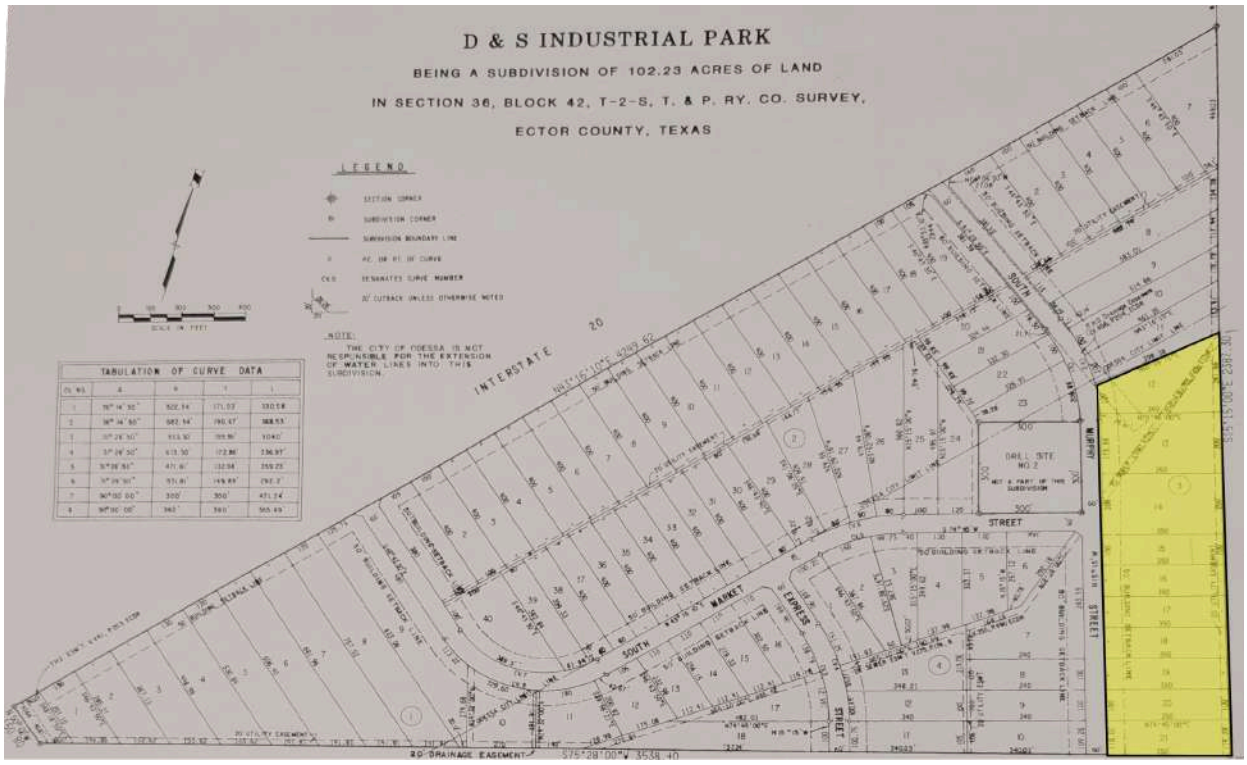
Easements and Encroachments

Upon inspection of the property and records affecting such, there appear to be no easements or encroachments that would affect the subject property in a negative manner.

Subject Property Development

Property is currently developed with multiple warehouses, two with office sections. South Murphy Street is paved with asphalt. Subject Improvement Analysis follows.

Survey



IMPROVEMENT ANALYSIS

The site is currently improved with 5 metal buildings (see building sketch for all improvements). The buildings were built over time in the following year: 2001, 2006, 2011 and 2014. Effective age is 15.3 years. The overall physical condition is above average.

General construction details are as follows:

Gross Building Area:	19,500 SF
Net Leasable Area:	19,500 SF
Foundation:	Poured, reinforced concrete
Exterior Walls:	Pre-engineered insulated metal
Roof:	Metal
Exterior Doors:	Exterior metal doors on the side, with front office Tempered glass. Overhead metal doors on workshop.
Windows:	Metal framed single pane windows
Floors:	Ceramic tile, vinyl tile and carpet in main office, sealed concrete in warehouses
Electrical Outlay:	Strip fluorescent lighting in the office, strip fluorescent and translucent panels in the warehouses. Standard for building use. Adequate shop electrical for all uses including air compressor. Adequate office electrical outlay.
Plumbing:	Property has one restroom in the shop and one in the office. The property has one water well and septic tank.
Mechanical:	Central heat and air in the office and living areas.
Interior Finish:	Walls: Painted drywall in the office and bathroom areas. Floor: Ceramic tile in office. The shops have sealed concrete flooring.
Other:	Building 1 retaining wall and skirting with concrete walkways and ramps, Cold Vault building 2A, caliche yard and drives, perimeter fencing, concrete drives and ramps for all buildings and pads for hotboxes and transformers.

OWNERSHIP / SALES HISTORY

The property was obtained by Corchem Manufacturing Inc. in three deeds dated as follows: **December 15, 2005** as recorded in the deed records of Ector County, Texas, in Document No. 19463 Vol. 1989, pg. 528 for Lot 14 D & S Industrial Park, Block 3 from L. G. Brooker and **September 13, 2010**, as recorded in the deed records of Ector County, Texas, Instrument # 2010-00013090 for Lot 13, D & S Industrial Park, Block 3 and on **December 4, 2012**, Instrument # 2012-00018580 from grantor Leverett, Sherry Gwen (as an individual and executrix) and the estate of Leverett, Cletus Dale. This second transaction included multiple lots within D & S Industrial Park, Block 3, specifically Lots 12, 15, 16, 17, 18, 19, 20 and 21.

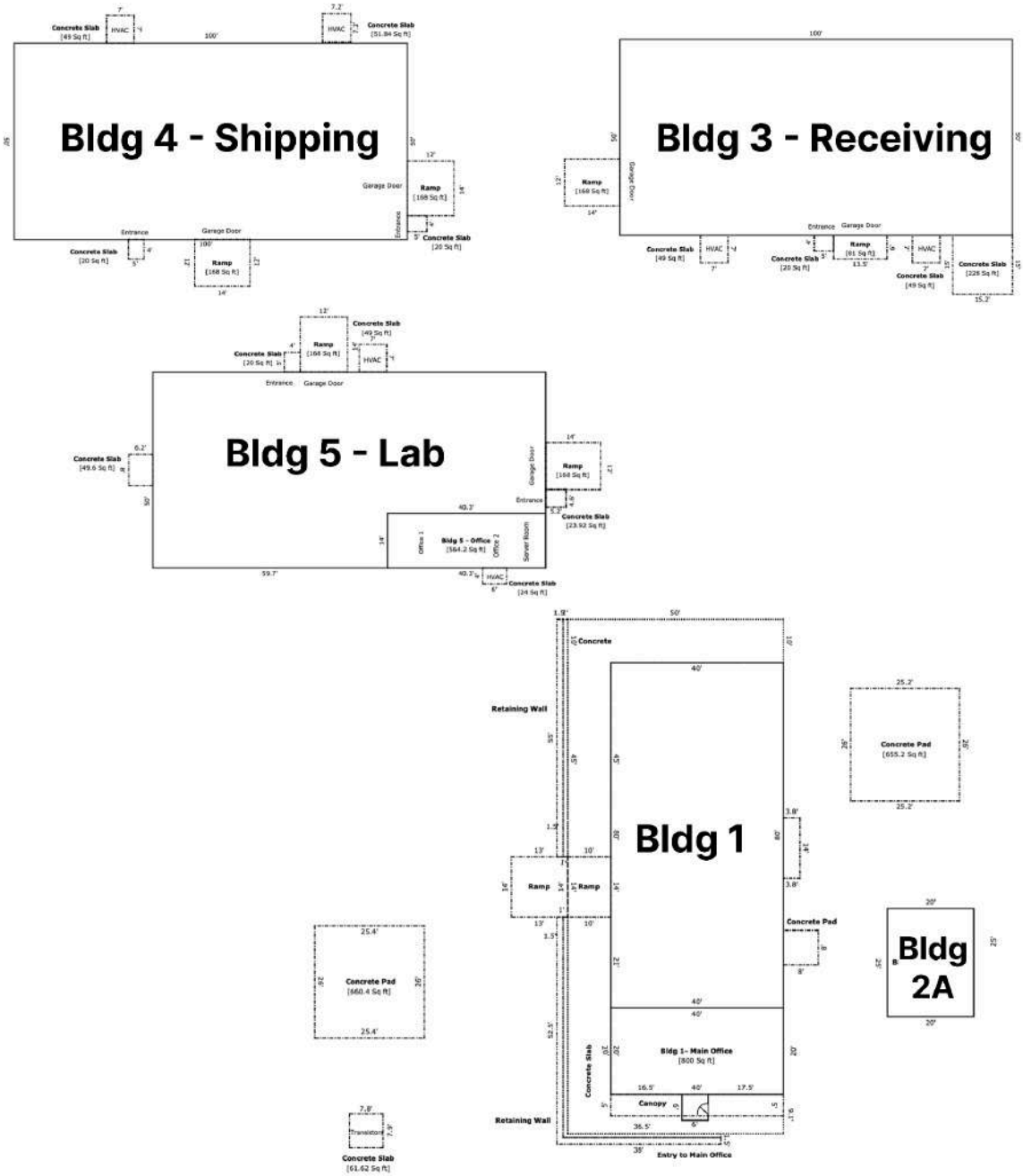
This ownership history is based on available deed records.

Summary and Conclusion

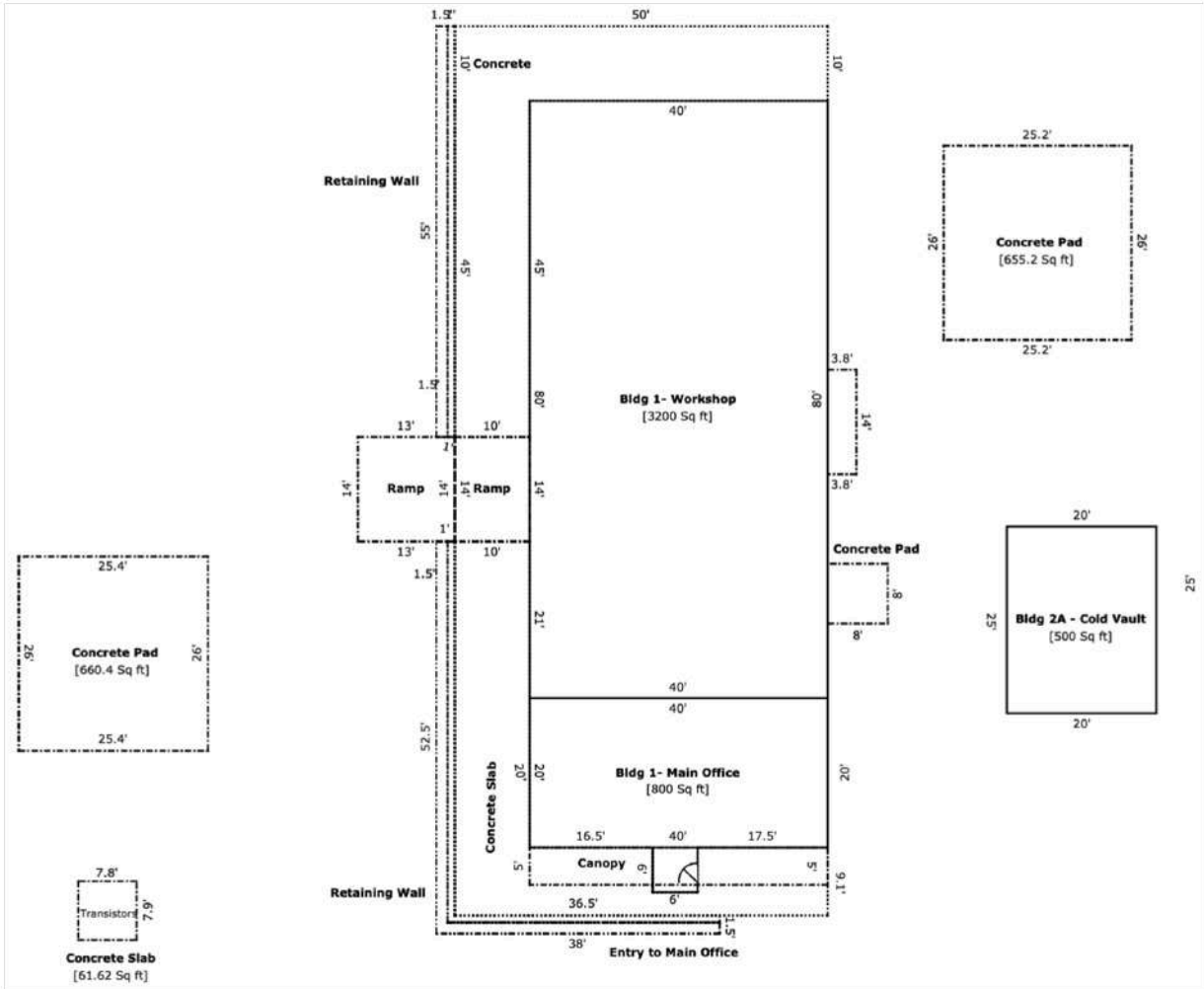
The subject site contains good accessibility and average exposure. Property is around similar businesses and sites. Subject is located on South Murphy Street adjacent to the Interstate 20 frontage road near the major intersection of the I-20 frontage roads and JB Parkway. Location provides an easy commute to three major access roads (Hwy 191, I-20 and Hwy 80). The property has been adequately maintained and renovated and retains functionality. The property is not in the flood zone. However, a retaining wall on the main office/warehouse was added due to previous flooding of the building. Now, there appears to be adequate drainage away from the buildings. This site's location and exposure may be attractive to a variety of light industrial commercial utilizations.

BUILDING SKETCHES

Site Overview



BUILDING 1 AND 2A

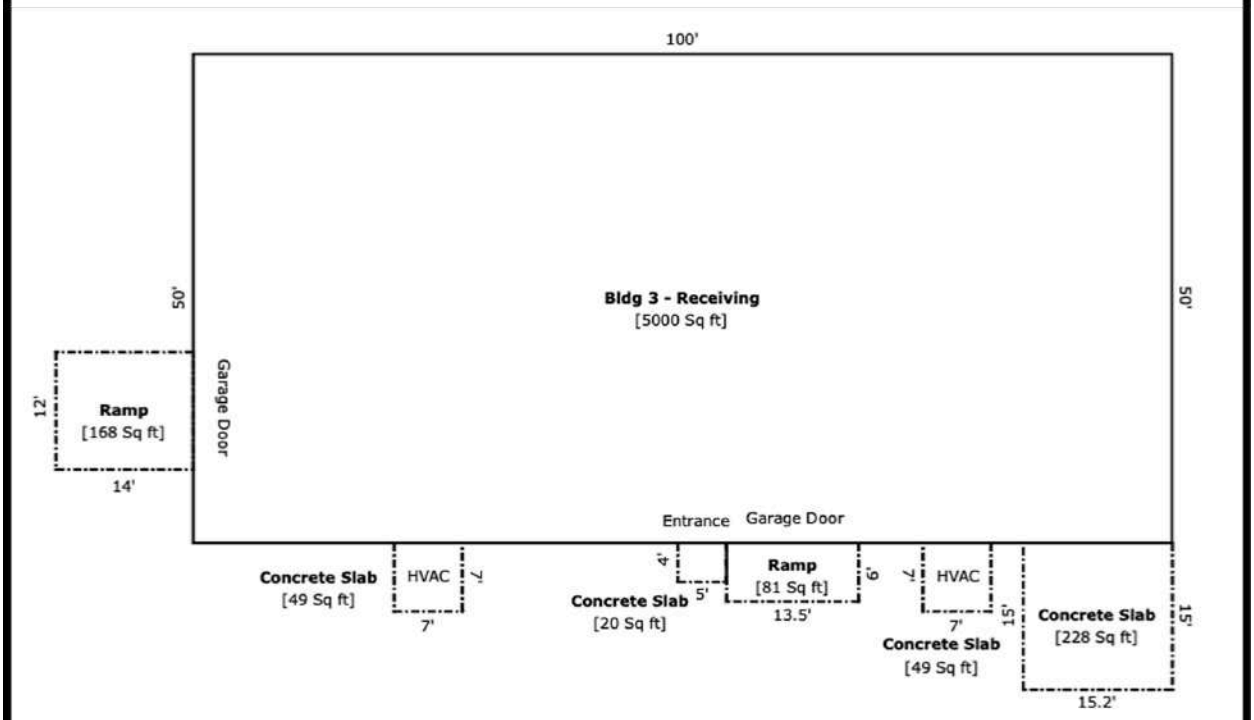


TOTAL Sketch by a la mode

Area Calculations Summary

Living Area	
Bldg 2A - Cold Vault	500 Sq ft
Bldg 1- Main Office	800 Sq ft
Bldg 1- Workshop	3200 Sq ft
Total Living Area (Rounded):	**4500 Sq ft**
Non-living Area	
Canopy	200 Sq ft
Entry to Main Office	36 Sq ft
Concrete Pad	660.4 Sq ft
Concrete Slab	61.6 Sq ft
Concrete Pad	655.2 Sq ft
Concrete Skirting	82.5 Sq ft
Retaining Wall	82.9 Sq ft
Concrete	950 Sq ft
Concrete Pad	64 Sq ft
Concrete Ramp	53.2 Sq ft
Concrete Slab	829 Sq ft
Concrete Skirt	133.5 Sq ft
Retaining Wall	55 Sq ft
Ramp	140 Sq ft
Ramp	182 Sq ft

BUILDING 3

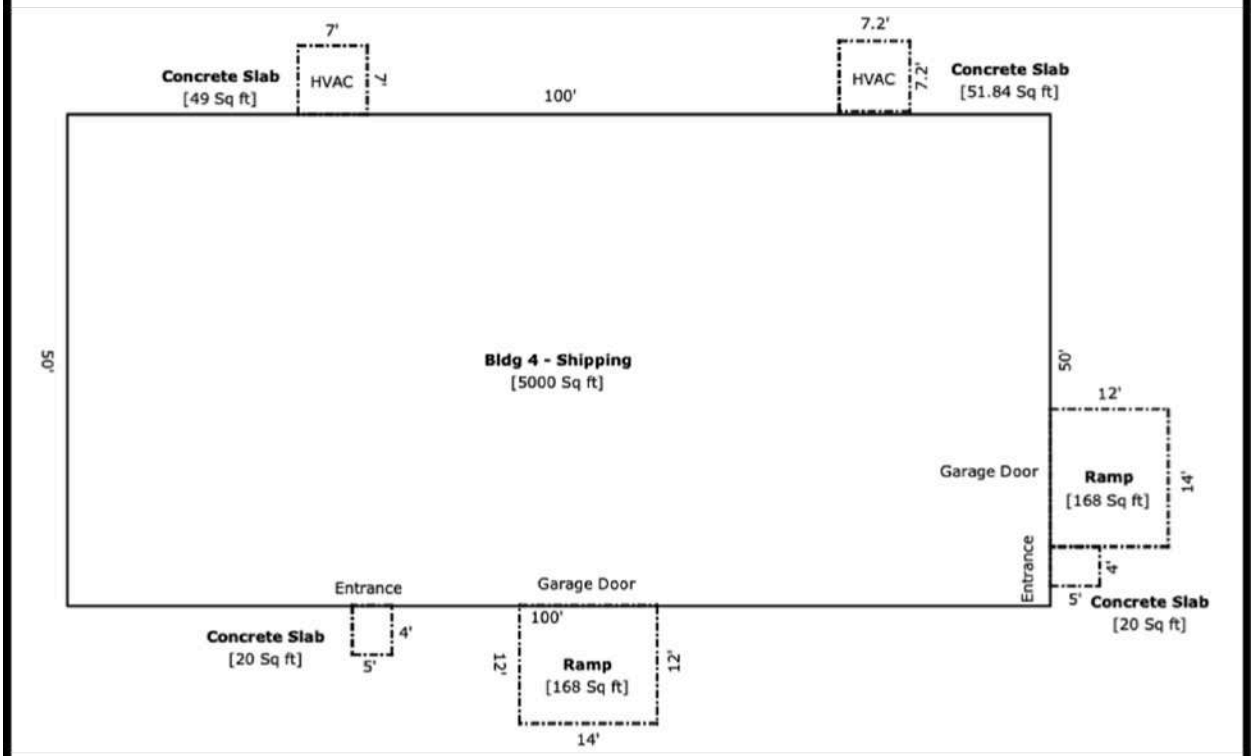


TOTAL Sketch by a la mode

Area Calculations Summary

Living Area	
Bldg 3 - Receiving	5000 Sq ft
Total Living Area (Rounded):	**5000 Sq ft**
Non-living Area	
Concrete Slab	20 Sq ft
Concrete Slab	228 Sq ft
Ramp	81 Sq ft
Concrete Slab	49 Sq ft
Ramp	168 Sq ft
Concrete Slab	49 Sq ft

BUILDING 4

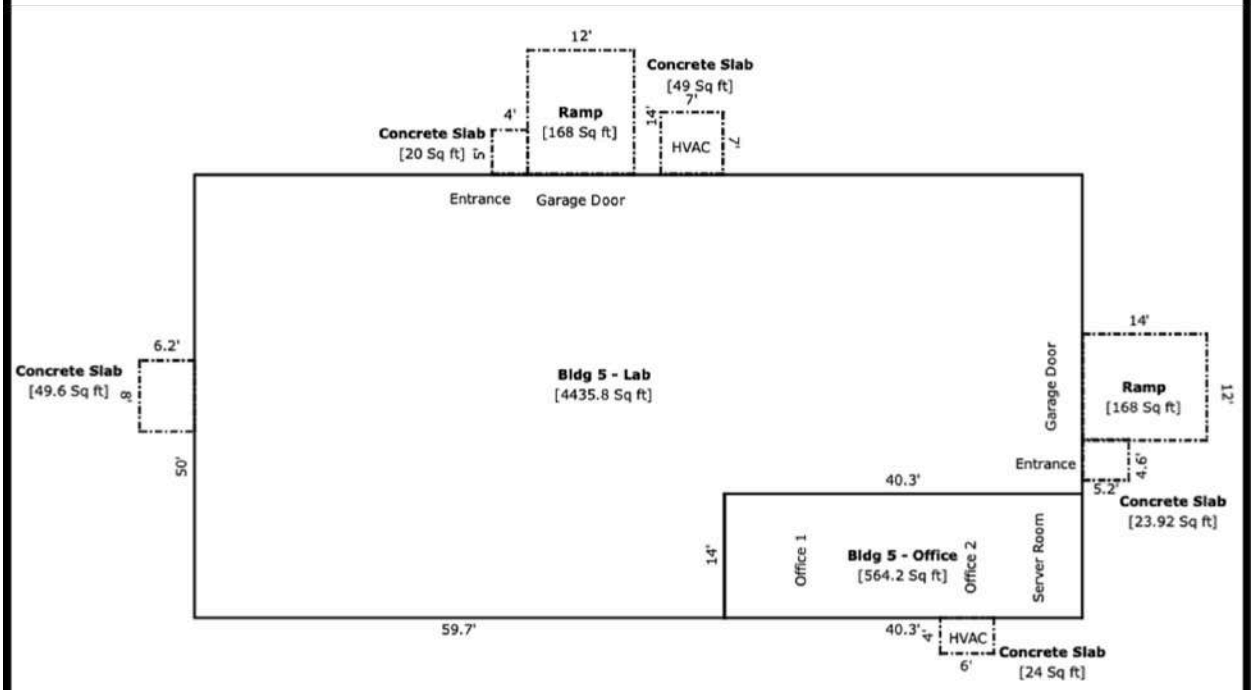


TOTAL Sketch by a la mode

Area Calculations Summary

Living Area	
Bldg 4 - Shipping	5000 Sq ft
Total Living Area (Rounded):	**5000 Sq ft**
Non-living Area	
Concrete Slab	20 Sq ft
Concrete Slab	49 Sq ft
Concrete Slab	20 Sq ft
Ramp	168 Sq ft
Ramp	168 Sq ft
Concrete Slab	51.8 Sq ft

BUILDING 5



TOTAL Sketch by a la mode

Area Calculations Summary

Living Area	
Bldg 5 - Office	564.2 Sq ft
Bldg 5 - Lab	4435.8 Sq ft
Total Living Area (Rounded):	**5000 Sq ft**
Non-living Area	
Concrete Slab	23.9 Sq ft
Concrete Slab	49.6 Sq ft
Concrete Slab	24 Sq ft
Concrete Slab	20 Sq ft
Ramp	168 Sq ft
Ramp	168 Sq ft
Concrete Slab	49 Sq ft

Area Calculations Summary

Living Area		Calculation Details	
Bldg 2A - Cold Vault	500 Sq ft	25 × 20 =	500
Bldg 1- Main Office	800 Sq ft	40 × 20 =	800
Bldg 1- Workshop	3200 Sq ft	40 × 80 =	3200
Bldg 5 - Lab	4435.8 Sq ft	36 × 40.3 =	1450.8
		59.7 × 50 =	2985
Bldg 5 - Office	564.2 Sq ft	40.3 × 14 =	564.2
Bldg 4 - Shipping	5000 Sq ft	100 × 50 =	5000
Bldg 3 - Receiving	5000 Sq ft	100 × 50 =	5000
Total Living Area (Rounded):	**19500 Sq ft**		
Non-living Area			
Concrete Slab	61.6 Sq ft	7.8 × 7.9 =	61.6
Concrete Pad	655.2 Sq ft	25.2 × 26 =	655.2
Canopy	200 Sq ft	40 × 5 =	200
Entry to Main Office	36 Sq ft	6 × 6 =	36
Concrete Pad	660.4 Sq ft	26 × 25.4 =	660.4
Retaining Wall	55 Sq ft	55 × 1 =	55
Concrete Skirt	133.5 Sq ft	1.5 × 36.5 =	54.8
		1.5 × 52.5 =	78.8
Ramp	182 Sq ft	14 × 13 =	182
Ramp	140 Sq ft	14 × 10 =	140
Concrete	950 Sq ft	10 × 40 =	400
		10 × 55 =	550
Retaining Wall	82.9 Sq ft	0.9 × 35.5 =	32
		1 × 51 =	51
Concrete Skirting	82.5 Sq ft	1.5 × 55 =	82.5
Concrete Slab	829 Sq ft	9.1 × 17.5 =	159.2
		3.1 × 6 =	18.6
		9.1 × 16.5 =	150.2
		10 × 50.1 =	501
Concrete Ramp	53.2 Sq ft	14 × 3.8 =	53.2
Concrete Pad	64 Sq ft	8 × 8 =	64
Ramp	168 Sq ft	14 × 12 =	168
Concrete Slab	20 Sq ft	5 × 4 =	20
Concrete Slab	49 Sq ft	7 × 7 =	49
Concrete Slab	49 Sq ft	7 × 7 =	49
Ramp	168 Sq ft	14 × 12 =	168
Concrete Slab	23.9 Sq ft	4.6 × 5.2 =	23.9
Concrete Slab	24 Sq ft	6 × 4 =	24
Concrete Slab	49.6 Sq ft	8 × 6.2 =	49.6
Concrete Slab	20 Sq ft	5 × 4 =	20
Ramp	168 Sq ft	14 × 12 =	168
Ramp	168 Sq ft	14 × 12 =	168
Concrete Slab	49 Sq ft	7 × 7 =	49
Ramp	168 Sq ft	14 × 12 =	168
Concrete Slab	20 Sq ft	5 × 4 =	20
Concrete Slab	228 Sq ft	15 × 15.2 =	228
Ramp	81 Sq ft	13.5 × 6 =	81
Concrete Slab	20 Sq ft	5 × 4 =	20
Concrete Slab	49 Sq ft	7 × 7 =	49
Concrete Slab	51.8 Sq ft	7.2 × 7.2 =	51.8

HIGHEST AND BEST USE / MARKET ANALYSIS

Highest and best use is defined by The Appraisal of Real Estate, 9th Edition, American Institute of Real Estate Appraisers, as:

> "The reasonable probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and results in the highest value."

Because the presence of improvements can limit a parcel of land's possible uses, highest and best use is determined separately for the land as vacant and available to be put to its highest and best use, and for the property as improved. The highest and best use of the land as vacant and available for use may be different from the highest and best use of the improved property. This will occur when existing improvements create value in excess of the land alone, but do not add maximum value since the improvements are not the most beneficial use.

Whether vacant or improved, the highest and best use of land must meet the following four criteria:

1) Physically Possible:	The uses, which are physically possible to place on the site in question.
2) Legally Permissible:	The uses that are permitted by the current zoning and any deed restrictions currently on the site in question.
3) Financially Feasible:	Any possible and permissible use that will produce a net return to the land, and therefore an owner of the site.
4) Maximally Productive**:**	The feasible use that will produce the greatest net return or highest present worth to the land.

Site As Vacant

The Highest and Best Use Analysis of the subject site, as vacant, begins by considering the various physical characteristics. Uses might be limited by physical attributes such as size, frontage, topography, soil and subsoil conditions and utility availability. Each factor can limit the possible uses for the site. The subject site contains approximately 10.39 acres or ~452,671 square feet south of Interstate 20

in the south eastern part of Odessa, Texas in Ector County. This acreage is in 10 contiguous parcels in a mostly rectangular shape with level topography and apparently ample drainage. Out of the 10.39 acres, 4.67 acres is considered the **primary site** while the remaining 5.72 acres is considered **Excess Land**. The topography and the soil and subsoil conditions appear to be adequate. In addition, the site contains current access to electricity and internet. The subject property appears to be of sufficient size and shape to accommodate a wide range of possible uses. The excess land does not have water rights as they were retained by a former owner. The site is primarily surrounded by industrial uses. Access to the subject's neighborhood is considered average to good due to its location near area primary traffic arteries.

Secondly, the use must be legally permissible. Zoning, deed restriction, building codes, and environmental regulations are all legal restrictions, which may limit the site's highest and best use. The subject site is located outside the city limits of Midland and Odessa and is unregulated by the zoning restrictions. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development.

When considering financial feasibility, supply and demand factors are major determinants. As described in the Neighborhood Analysis section, the subject's defined neighborhood contains a variety of developments.

The prior consideration of physically possible uses and legally permissible uses does not significantly narrow the use of the subject property. Although the subject site legally and physically allows for the development of a wide variety of utilizations, only those which produce income and/or a return ample to fulfill the requirements of operating expenses, financial expenses, and capital amortization are regarded. Location on S. Murphy adjacent to Interstate 20 East affords the site good accessibility, and adequate view, and exposure. The ideal use of the property would be one in conjunction with a light industrial use.

Site As Improved - Primary Site

The four criteria previously mentioned must also be met for the site's proposed improvements to be representative of the highest and best use.

The subject property consists of 19,500SF office/warehouse facility which includes 2 office/shop buildings, 2 shop/warehouse/ storage buildings and one small metal building with a cold storage vault on 4.67 acres of land. The subject's improvements

are generally in line with similar industrial developments in the area.

The overall value of the buildings as improved exceeds the value of the property as vacant; therefore, an informed purchaser would leave the existing improvement intact. Based on the information, the physical possibilities of the subject would be for use as an office/warehouse facility.

The use of the land with the improvements, is physically possible and assumed to be legally permissible based on no zoning and surrounding developments. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development. The building is situated in such a manner as to provide reasonable on-site traffic flow. Currently there are no other legally permissible uses which would economically justify the demolition of existing improvements and property redevelopment. As a result, the highest and best use for the site as improved is for its existing use as an office/warehouse facility.

It does appear feasible to construct a speculative office/warehouse facility under current market conditions. Is there another use that would produce a higher return to the property on a long term basis? In this particular case, it does not appear that there is a reasonable alternative use that could out-perform the subject's use. The office/warehouse facility conforms to the surrounding land uses and produces sufficient income to offset all costs of operation (not considering debt service) and return a net profit to the owner. Therefore, it is our opinion that the highest and best use of the site as improved is use as an office/warehouse facility.

SUBJECT PROPERTY VALUATION

VALUATION PROCESS

As previously mentioned, three approaches to value will be used in order to obtain a value estimate for the subject property. The Sales Comparison Approach to value will be used to determine land value based on current land sales. Then the Sales Comparison Approach will be utilized to determine the improvement value only and the subject property as a whole utilizing both analyses. Secondly since the property is leased, the income approach to value will also be developed.

COST APPROACH TO VALUE

The Cost Approach is based upon the Principle of Substitution, which states that a rational buyer will pay no more for a property than that amount for which he can obtain a comparable site and construct improvements of equal desirability and utility, assuming no undue delay. This approach to value considers five basic steps.

1. The estimate of land value, as if vacant.
2. The estimate of the current cost of reproducing or replacing the existing improvements.
3. The estimate of accrued depreciation from all causes.
4. Deduct total accrued depreciation from the cost new estimate to arrive at a depreciated value of the improvements.
5. The final step is the addition of the land value to the contributory value of the improvements in order to arrive at the indicated value of the entire property.

SALES COMPARISON APPROACH

When adequate historical market data pertaining to properties similar to subject is available, the Sales Comparison Approach can be very reliable. The Appraiser must do five things in order to apply this approach:

1. Obtain market information on sales transactions, listings, and offerings to purchase properties similar to the subject property.
2. Verify the data obtained to assure its correctness and acquire the terms of sale to see that they reflect an arm's length transaction.
3. Analyze each of the comparable properties' important characteristics with the corresponding ones of the subject property in order to derive the

appropriate elements of comparison (e.g., time, location, and other characteristics – physical and economical).

4. Use the elements of comparison abstracted in the previous step in order to distinguish the differences between the subject property and the comparable sale properties and to see their effect on the sales price.

5. Reconcile the value indications produced by the comparison into a single estimate of value or a range of values for the property as a whole.

INCOME APPROACH

The principal assumption of the Income Approach is that there is a definite relationship between a property's value and the income it can produce. This method requires translating net income produced by a property into a value estimate by determining the present value of the anticipated income stream, appropriately discounted for risk, liquidity, and the remaining economic life of the improvements. There are basically four steps to be followed in assembling and processing the data needed in this approach, and they are summarized as follows:

1. Obtain the rent schedules and percentage of occupancy for the Subject Property and for comparables for the current year and several past years. This data is then compared and adjusted to an estimate of effective gross income which the property may be reasonably expected to produce.

2. Obtain expense data such as taxes, insurance and operating costs being paid by the Subject Property and by comparable properties.

3. Estimate the probable duration of the building's income or alternately, estimate the suitable period of ownership before resale.

4. Estimate the net operating income to the property (which is obtained by subtracting the expenses from the effective gross income), and select the appropriate capitalization method, the applicable technique, and appropriate rate for processing this net income.

SALES COMPARISON APPROACH - LAND VALUE ESTIMATE

The Sales Comparison Approach will be used to estimate the subject property as if vacant. The following sales occurred over the past several years in the immediate and similar surrounding areas and have been employed in ascertaining the land value estimate.

LAND SALE NUMBER 1

Location:	150 BAIZA DR Odessa, TX 79766
APN:	01415.00070.00000
Legal:	BAIZA PROPERTIES SUB BLOCK 1 LOT 7
Date of Sale:	May 17, 2023
Recorded:	Document #2023-00005339
Grantor:	BAIZA PROPERTIES INC
Grantee:	Julio A. Quintana Calero and Ricardo A Gomez Hernandez
Consideration:	$190,000
Terms:	Cash to Seller
Unit Price:	$65,517/AC
Size:	2.9 Acres
Zoning:	Outside city limits, inside ETJ
Comments:	Adjacent to S HW 385, Caliche surface, fenced in yard with electricity, water well, and septic system. Adjacent lot with a trailer sold for $240,000 ($82,758.62ac) in 03/2023. Principal note for $160,000.

LAND SALE NUMBER 2

Location	16570 W Basin Odessa, TX 79763
APN	01841.00060.00000
Legal	Lot 6 Block 1 Basin industrial Addition
Date of Sale	March 18, 2024
Recorded	Document # 2024-00004598
Grantor	JNL Steel Components Inc
Grantee	Flas Energy Services LLC
Consideration	$800,000
Terms	Cash to Seller
Unit Price	$153,256.71/AC
Size	5.22 AC or 227,470 SF
Zoning	None/ Outside ETJ
Comments	Front 352.67 by depth 645.01 located in Section 46 & 47 Block 44, T2S T&P Ry. Co. Survey, Ector County with a principal amount note of $680,000. Has access to metered non-potable water sources.

LAND SALE NUMBER 3

Location	1917 S Midland Dr, Midland TX 79703
APN	R000004612
Legal	SW/4, SEC: 5, BLK: 39-T2S
Date of Sale	April, 2023
Recorded	Doc. # 2023-8926
Grantor	MC CLATCHY BROS INC
Grantee	INDUSTRIAL OILS INC
Consideration	$725,000
Terms	Cash to Seller
Unit Price	$56,773.69/AC
Size	12.770 AC
Zoning	None / Inside ETJ
Comments	Fenced with a gate. Access to I-20. Former pipe yard. Public Water and Sewer available. Cleared with Caliche.

LAND SALE NUMBER 4

Location	701 N Meadow Dr, Odessa, Texas 79761
APN	08900.00135.00000, 08900.00137.00000
Legal	LAKEVIEW TRACT 11 (CARD #7)
Date of Sale	October 13, 2023
Recorded	Document # 2023-00017370
Grantor	STEWART MARLEE M, Indv and Living Trust
Grantee	Partners Assets, LLC
Consideration	$80,000
Terms	Cash to seller
Unit Price	$76,923.08 / AC ($1.77 / SF)
Size	1.04 acres (45,302.40 SF)
Zoning	Inside City Limits / Light Industrial District
Comments	Site has Overhead Utilities, cleared topography, Public water and sewer and is not fenced. Verified with Agent (Dee Anna Arellano)

LAND SALE NUMBER 5

Location	11403 West County Road 122, Midland County, Texas
APN	R213494
Legal	Acres: 4.968, BLK: 001, LOT: 001, ADDN: DUNHAM ACRES
Date of Sale	April 12, 2021
Recorded	Document # 2021-11270
Grantor	Bob Melton
Grantee	Fair Family Partnership LTD
Consideration	$400,000
Terms	Cash to Seller
Unit Price	$80,382 / AC ($1.85 /SF)
Size	4.9763 AC (216,766 SF)
Zoning	None / Inside ETJ
Comments	Located on the south side of W County Rd 122, just east of S County RD 1290. Caliche covered and perimeter fencing at time of sale. No flood plain noted. Property purchased for the development of an office/warehouse. Peer Appraiser verified the contract for sale.

LAND SALE NUMBER 6

Location	1001 W I-20 Service Rd Odessa, TX 79761
APN	19040.00010.00000, 19040.00011.00000
Legal	METAL SOLUTIONS BLOCK 1 LOT 1 INSIDE CITY LIMITS AND OUTSIDE CITY LIMITS
Date of Sale	1/8/2025
Recorded	2025-00000565
Grantor	QCC HOLDINGS INC
Grantee	LEZAMA SEGUNDO
Consideration	$700,000
Terms	Cash to Seller
Unit Price	$73,684.21 / AC ($1.69 . SF)
Size	9.5 AC (413,820 SF)
Zoning	Light Industrial & 3.08 AC Inside ETJ
Comments	Sale is located near the intersection of S Crane Avenue and the S I H 20 service road going east; land near McKinney Park and Comanche Trail Park between two vacant lots. Property has underground utilities. Verified via MLS LL157473S.

COMPARABLE LAND SALES SUMMARY CHART							
#	1	2	3	4	5	6	Subj
Address	150 W Baiza Dr Odessa	16570 W Basin Odessa	1917 S Midland Dr Midland	701 N Meadow Dr Odessa	11403 West County Road 122 Midland	1001 W I-20 Service Rd Odessa	1227 S Murphy St Odessa
Date of Sale	May 2023	Mar 2024	Apr 2023	Oct 2023	Apr 2021	Jan 2025	Current
Land Size (AC) Net Usable	2.9	5.22	12.77	1.04	4.9763	9.5	4.67 5.72
Overall Location	Ector Co	Ector Co	Midland Co	Odessa Ector Co	Midland Co	Odessa Ector Co	Ector Co
Zoning or ETJ	ETJ	None	None	LI	ETJ	LI & ETJ	ETJ
Corner	No	No	No	No	No	No	No
Highway Frontage	No	No	No	No	No	Yes	No
$ / AC	$65,517	$153,257	$56,774	$76,923	$80,381	$73,684	

Analysis of the Sales

These sales are a good representation of land that bracket the subject size. These sales of commercial/industrial land sales in the local market are some of the best available to determine the value an informed buyer would pay for land like the subject land. Many sales are done between buyers and sellers with attorneys and these sales are not listed in any database. Texas is a non-disclosure state so the prices and details of the transaction are not public. Therefore, the actual pool of sales available to the appraiser is limited.

No. 1 is just off of South State Highway 385 in Ector County outside the city limits but within the ETJ of the City of Odessa surrounded by some commercial, residential, and vacant land. No. 2 is located SW of the city of Odessa outside the city limits and the current ETJ. The seller in this area is receiving a premium for the land in this subdivision according to the realtor involved in these sales, this was a reduced price because of some other deals made between the buyer and seller. However, the other sales she references are not publicly available. Sale No. 3 is

located between planned development, business park and commercial zoning but itself is not zoned and is considered outside the city limits although in a light industrial non zoned area. This sale is used to bracket the total subject size. No. 4 is in the city limits and is zoned Light Industrial. This sale is used as the only sale found within the neighborhood boundaries therefore is included and considered one of the better land sales for this assessment. Sale No. 5 is located between Midland and Odessa in a similar location to subject property. Sale No. 6 is also located similarly to the subject except that it is located directly on the I-20 service road. It is the most recent sale. All of the land that is in the ETJ of the City of Odessa are within 5 miles of the city limits and if the county requires the land be platted, the city of Odessa will be the entity to approve it and designate any other requirements.

Time or Date of Sale

Using multiple sales over the last three years from the local MLS systems, these are analyzed to determine a time/date of sale trend which is also called Market Condition Adjustments. Applying these trends obtained from the group analysis, the sales are adjusted at 6% per year or 0.5% per month.

Location

Overall, most of the properties have similar locations with each having advantages and possibly some negatives. However, Sale No. 2 is considered superior based on the adjacency to Interstate 20 in a growing part of West Odessa near Penwell. As other properties compare to this sale and the subject location, a negative adjustment of 20% is warranted only for this sale. A negative 10% is warranted for sale No. 6 located on the I-20 Service Road to equate to subject. Subject location is also becoming a growing part of the more eastern part of Interstate 20 corridor in Odessa.

Size

No. 3, the largest property is the lowest price per acre and No. 6 the next largest sold for the next lowest price. Typically, in real estate, the larger the property, the smaller the unit price. This seems to mostly hold true for the comparable sales. As previously mentioned the seller associated with Sale No. 2 tends to get premium pricing. This land is caliche covered and has a meter for non- potable water only. There is no water well on the site at the time of sale. Subject land values will be determined separately for the improved land from the excess land. Multiple pairings were done utilizing artificial intelligence to obtain the size adjustments. No

across the board adjustments were deemed credible, therefore, each sale that needed adjusting were done relative to the applicable analysis.

Physical Features

Physical features encompass site configuration, topography, drainage, and any on-site improvements (e.g., a caliche yard, fencing, or well). A fenced, caliche-based site ready for industrial use may bring a higher unit price compared to raw, unimproved land. Where a comparable had distinctive site improvements—like perimeter fencing, stabilized surface, or onsite water/septic—those sales were adjusted downward (since they are superior to the raw subject). Conversely, if a site required more site work than the subject, an upward adjustment would be considered (if a comparable is inferior to the improved parcel of the subject). As previously stated, the land values will be determined separately for the raw excess land and the caliche yard with the improvements. None of the comparables were completely raw land like subject. Therefore, the appraiser used other land sales in the MLS that were equal in other factors to each other except one being cleared with caliche and the other being raw land in order to obtain an adjustment for this factor for the excess land.

Sale No. 1 has a water well, electricity, chain link fencing and was cleared and level with caliche surface. Sale No. 2 was a sale with a caliche yard, chain link fencing to an adjacent property. It did not have a sewer system. According to the realtor, these sites sell for between $165,000 - $200,000 per acre in this platted subdivision and similar other subdivisions in that same area. It did not have electricity at the time of sale. Sale No. 3 has access to all city utilities and was finished with barbed wire fencing and a caliche/dirt mix yard and is considered slightly inferior to the improved parcel of subject. Additionally, it was on the market for 2 years which is an extended amount of time. Sale No. 4 was cleared with overgrown weeds, no front fencing but had access to public water, sewer and electricity. Sale 5 appears to have been fenced and cleared but some details are unknown. Sale No. 6 is mostly cleared with some caliche or packed dirt with only strand barbed wire and few wood posts with ¾ of the land having access to city utilities.

Utilities

Availability and proximity of utilities such as electricity, water, and sewer can materially affect land value, especially for industrial or commercial use. Tracts lacking public utilities often transact at lower unit prices, reflecting the added expense a buyer must assume. If a comparable had a utility advantage (e.g., city water or public sewer onsite) and the subject did not, a downward adjustment was

made. In this analysis, most of the comps shared comparable utility availability or had only modest advantages or disadvantages relative to each of the subject land valuations. Accordingly, most utility adjustments were minimal or unnecessary for the improved site but were necessary for the excess land site. These tables differ accordingly. See physical features paragraph above for comparable utility details.

Zoning

Zoning and the allowable uses under that zoning classification can significantly influence land value. Properties with more flexible industrial or commercial zoning often sell at higher prices. In this case, the subject is in the ETJ (extraterritorial jurisdiction), with industrial or commercial potential. All the comparables analyzed reflect a reasonably similar industrial or light-industrial utility and use potential. Thus, no significant zoning adjustments were made.

As the main variables of influence have been discussed, relative adjustments will be made in the charts below. Chart 1 is for the Raw land having 5.72 acres or 249,163.20SF and Chart 2 is for the Caliche yard with the improvements of 4.67 acres or 203,399.06SF.

EXCESS LAND ADJUSTMENT CHART

	Subject	1	2	3	4	5	6
Date	Current	May-2023	Mar-2024	Apr-2023	Oct-2023	Apr-2021	Jan-2025
Sale Price		$190,000	$800,000	$725,000	$80,000	$400,000	$700,000
Size (SF)	249,163	126,324	227,383	556,261	45,302	216,768	413,820
$ / SF		$1.50	$3.52	$1.30	$1.77	$1.85	$1.69

TRANSACTION ADJUSTMENTS

Property Rights		Similar 0% $1.50	Similar 0% $3.52	Similar 0% $1.30	Similar 0% $1.77	Similar 0% $1.85	Similar 0% $1.69
Financing Terms		Similar 0% $1.50	Similar 0% $3.52	Similar 0% $1.30	Similar 0% $1.77	Similar 0% $1.85	Similar 0% $1.69
Conditions of Sale		Arm's Length 0% $1.50	Not Arm's Length -20% $2.81	Arm's Length 0% $1.30	Arm's Length 0% $1.77	Arm's Length 0% $1.85	Arm's Length 0% $1.69

Market Conditions		May-2023	Mar-2024	Apr-2023	Oct-2023	Apr-2021	Jan-2025
		10%	5%	11%	8%	23%	0%
		$1.65	$2.96	$1.45	$1.91	$2.27	$1.69

PROPERTY ADJUSTMENTS

Location	Good	Similar	Superior	Similar	Similar	Similar	Similar
		0%	-20%	0%	0%	0%	-10%
Size (SF)	249,163.20	126,324.00	227,383.20	556,261.20	45,302.40	216,767.63	413,820.00
		-5%	0%	40%	-20%	0%	20%
Physical Features	Raw	Superior	Superior	Superior	Similar	Superior	Slightly Superior
		-20%	-20%	-20%	0%	-20%	-10%
Utilities	Electricity	Superior	Similar	Superior	Superior	Similar	Superior
		5%		5%	5%		5%
Zoning	Inside ETJ	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%
Total Adjustment		-20%	-40%	25%	-15%	-20%	5%
Adjusted $ / SF		$1.32	$1.77	$1.81	$1.62	$1.82	$1.78
Adjusted Mean $ / SF							$1.69

A value generally in-line with the mean is well supported.	$1.69

Land Size (SF)	249,163.2
Value Indication	$421,086
Concluded Value - Raw Excess Land	$421,000

Based on these sales, the estimated range of value for the Raw Land Lots 15-21 is from $1.32/SF to $1.82/SF or $57,500/AC to $79,280/AC, a much closer range than prior to adjustments. Based on these, the estimated value of the raw excess land is well supported at the mean $1.69/SF or ~$73,616/AC for the land which is near the price of the most recent land sale.

5.72 AC @ $73,616/AC = $421,086
$420,000 Rounded

IMPROVED LAND ADJUSTMENT CHART

	Subject	1	2	3	4	5	6
Date	Current	May-2023	Mar-2024	Apr-2023	Oct-2023	Apr-2021	Jan-2025
Sale Price		$190,000	$800,000	$725,000	$80,000	$400,000	$700,000
Size (SF)	203,399	126,324	227,383	556,261	45,302	216,768	413,820
$ / SF		$1.50	$3.52	$1.30	$1.77	$1.85	$1.69

TRANSACTION ADJUSTMENTS

Property Rights		Similar 0% $1.50	Similar 0% $3.52	Similar 0% $1.30	Similar 0% $1.77	Similar 0% $1.85	Similar 0% $1.69
Financing Terms		Similar 0% $1.50	Similar 0% $3.52	Similar 0% $1.30	Similar 0% $1.77	Similar 0% $1.85	Similar 0% $1.69
Conditions of Sale		Arm's Length 0% $1.50	Not Arm's Length -20% $2.81	Arm's Length 0 $1.30	Arm's Length 0 $1.77	Arm's Length 0 $1.85	Arm's Length 0% $1.69
Market Conditions		May-2023 10% $1.65	Mar-2024 5% $2.96	Apr-2023 11% $1.45	Oct-2023 8% $1.91	Apr-2021 23% $2.27	Jan-2025 0% $1.69

PROPERTY ADJUSTMENTS

Location	Good	Similar 0%	Superior -20%	Similar 0%	Similar 0%	Similar 0%	Similar -10%
Size (SF)	203,399	126,324 -5%	227,383 0%	556,261 45%	45,302 -20%	216,768 0%	413,820 25%
Physical Features	Caliche, fenced, cleared, level	Similar 0%	Similar 0%	Slightly Inferior 5%	Slightly Inferior 5%	Similar 0%	Slightly Inferior 5%
Utilities	Electricity, Water Well, Septic	Similar 0%	Slightly Inferior 0%	Superior 5%	Slightly Superior -3%	Similar 0%	Slightly Superior -3%
Zoning	Inside ETJ	Similar 0%	Similar 0%	Similar 0%	Similar 0%	Similar 0%	Similar 0%
Total Adjustment		-5%	-20%	55%	-18%	0%	17%

Adjusted $ / SF	$1.57	$2.36	$2.24	$1.56	$2.27	$1.98
Adjusted Mean $ / SF						$2.00

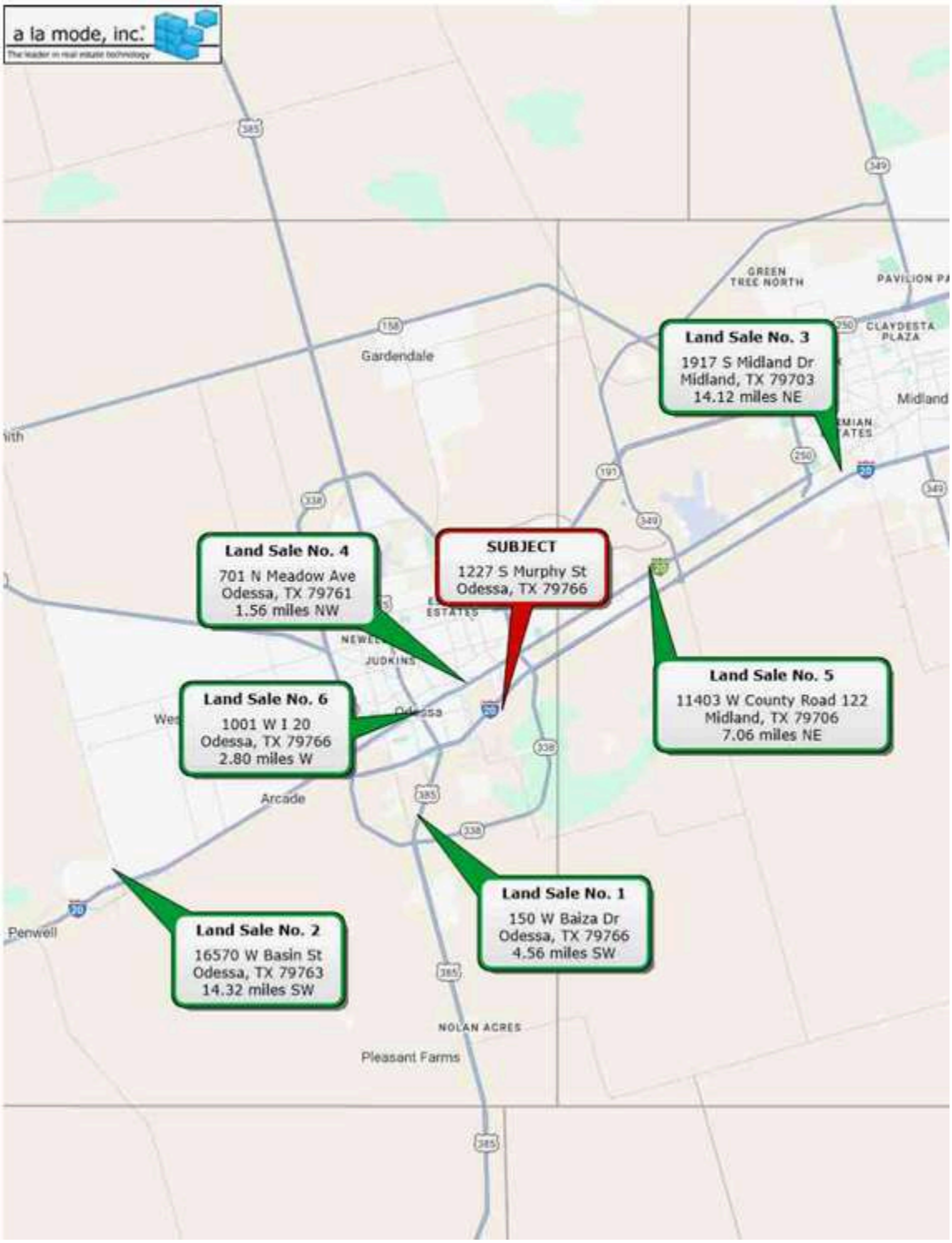
A value generally in-line with the mean is well supported.	$2.00

Land Size (SF)	203,399
Value Indication	$406,798
Concluded Value - Improved Land	$407,000

Based on these sales, the estimated range of value for the improved land, Lots 12-14 is from $1.56/SF to $2.36/SF or $68,380/AC to $102,790/AC, a much closer range than prior to adjustments. Based on these, the estimated value of the improved land is well supported near the mean @ $2.00/SF or ~$87,120/AC for the land which falls in line with the adjusted value of the most recent land sale.

4.67 AC @ $87,120 = $406,850
$407,000 Rounded

COMPARABLE LAND SALES MAP



THE COST APPROACH

In the cost approach, the appraiser compares the cost to develop a new property or a substitute property with the same utility as the subject property. The cost approach reflects market thinking because market participants relate value to cost. Buyers tend to judge the value of an existing structure not only by considering the prices and rents of similar buildings but also by comparing the cost to create a new building with optimal physical condition and functional utility.

The subject's production cost is estimated by use of the Marshall-Swift cost estimating service in addition to consultations with local contractors. Much of the contractor's overhead and profit are included in the estimate.

Subject's reproduction cost is estimated by use of the Marshall-Swift cost estimating service in addition to some actual costs of the property development when available or provided. The contractor's overhead and profit are included in the estimate. As applicable cost figures are obtained, the current and local adjustments are made.

The Calculator Costs obtained from the Marshall & Swift are averages of final costs including architects' fees and contractor's overhead and profit, sales taxes, permit fees and insurance during construction, as well as interest on interim construction financing. The appraiser deems the National Service estimation (Marshall & Swift) as credible and reasonable and will be utilized. These building costs along with Market derived site improvements are utilized in the swift estimator.

An Entrepreneurial Profit is added to the estimated cost "new" of the improvements. This profit is defined as a "market-derived figure that represents the amount an entrepreneur receives for his or her contribution to a project and risk; the difference between the total cost of a property (cost of development) and its market value (property value after completion), which represents the entrepreneur's compensation for the risk and expertise associated with development".

Consultations with developers of similar properties indicate entrepreneurial profits ranging from 5% to 20%; however, this element is for the most part captured in the contractors profit (which is included in the Marshall-Swift service) since many of the contractors in the area are also the sellers or lessors of the properties. In addition, some entrepreneurial incentive is captured in the land value as well. In addition, since the property has an effective age of 15 years old, the entrepreneurial profit has already been realized. Therefore, no additional entrepreneurial profit is added.

Depreciation

All types of depreciation of the subject improvements were considered. Depreciation is defined by The Appraisal of Real Estate, 12th Edition, American Institute of Real Estate Appraisers, as:

"The difference between the contributory value of an improvement and its cost at the time of appraisal."

Accrued depreciation is divided into three basic categories: physical deterioration, functional obsolescence, and external obsolescence. A discussion of each type of depreciation and the amount applicable to the subject property follows.

Accrued Depreciation Definitions

1. **Physical Deterioration** can be divided into curable and incurable categories.

    - Curable physical deterioration is described as that loss in value from cost new, which can be recovered or offset through correction, repair or replacement of the defective items causing the loss. According to The Appraisal of Real Estate, "An observed condition in the improvements to be appraised is considered curable if the cost of correcting the condition would offset by an equal or greater increase in value."

    - Incurable physical deterioration, on the other hand, is described as a loss in value from cost new that is not practical or currently feasible to correct. This type of deterioration is sub-classified as long-lived and short-lived.

2. **Functional Obsolescence** is described by The Appraisal of Real Estate as a loss in value from cost new which is caused by a superadequacy, inadequacy, unattractive style, poor or inefficient layout or design. The design and materials used in the construction should not differ greatly from those used currently.

    - Curable functional obsolescence is subclassified as (a) deficiency requiring additions, (b) deficiency requiring substitution or modernization, and (c) superadequacy. The measure of curable functional obsolescence is the cost to effect the cure. Incurable functional obsolescence refers to a superadequacy and/or deficiency

which is not economically feasible to cure.

- A deficiency is measured by the net income loss attributable to the deficiency by comparison with otherwise competitive properties. This net income loss is divided by the building capitalization rate. Subject property has remedied the flooding deficiency with a retaining wall on the north side of the office/shop building.
- A super adequacy is measured by capitalizing the net income loss due to the super adequacy.

3. **External Obsolescence** is described by The Appraisal of Real Estate as the loss in value of a property due to negative external influences, which can result from neighborhood, a property's location, or general market conditions.

   - Two methods can be used to measure external obsolescence.
     - (1) capitalize the income or rent loss attributable to the negative influence or
     - (2) compare sales of similar properties that are subject to the negative influence and others that are not.

<u>Accrued Depreciation Application</u>

1. Physical Deterioration
   - The subject property is appraised "As is" with an effective age of 3 years. The depreciation is included in the Marshall and Swift estimation below.
2. Functional Obsolescence
   - The subject is considered 15 years old with no functional depreciation applicable to either.
3. External Obsolescence
   - There is inadequate market evidence to suggest an external obsolescence factor. Newer facilities as a whole are showing little, if any, external obsolescence. No external obsolescence will be applied to the subject property.

The cost schedule generated by swift estimator follows. This value of the property improvements is added to the estimated land value to arrive at an indication of value by the cost approach.

Improvement Cost Estimation via Swift Estimator

CoreLogic - SwiftEstimator
Commercial Estimator - Summary Report

General Information

Estimate ID:	1227 S Murphy	**Date Created:**	02-26-2025
Property Owner:	Corchem	**Date Updated:**	02-27-2025
Property Address:	1227 S Murphy Odessa, TX 79766	**Date Calculated:**	02-27-2025
Local Multiplier:	0.86	**Cost Data As Of:**	02-2025
Architects Fee:		**Report Date:**	using default

Section 1

Area	19500	**Overall Depreciation %**	
Stories in Section	1	**Physical Depreciation %**	
Stories in Building	1	**Functional Depreciation %**	
Shape	rectangular	**External Depreciation %**	
Perimeter	(auto-calc)		
Effective Age	15		

Occupancy Details

Occupancy	%	Class	Height	Quality
494 Industrials, Light Mftg.	91	A	18	3.0
447 Cold Storage Facility	2	A	18	2.5
993 Interior Space, Office	7	A	10	2.5
Occupancy Total Percentage	100			

System : HVAC (Heating)

	%/Units	Quality	Depr %	Other
617 HVAC (Heating) : Complete HVAC	100	3.0		2
Total Percent for HVAC (Heating):	**100**			

System : Land and Site

	%/Units	Quality	Depr %	Other
7118 Land and Site : Fence, Chain Link, Vinyl Coat	9192	Occ.		
7119 Land and Site : Gate, Chain Link	240	Occ.		
7142 Land and Site : Barbed Wire (Add)	1532	Occ.		
7400 Land and Site : Awning, Metal	200	Occ.		
7003 Land and Site : Paving, Concrete, Reinforced	5587	Occ.		
62 Land and Site : Site Improvements	118,000	Occ.		

Addition Details

Addition	Units	Cost	Depr %	LM	Base Date
Basic 2 HVAC for the Hot Boxes Located at 2B and 2C	2	$20,000	68	N	02-2025

Remark / Note Details

Remark Date : 02-27-2025 **Reference Date :** 02-27-2025

This is just a general estimate and should not be considered totally accurate as materials and labor costs differ locationally and depreciation for components vary.

Note:

Calculation Information (All Sections)

	Units	Unit Cost	Total Cost New	Less Depreciation	Total Cost Depreciated
Basic Structure					
Base Cost	19,500	$98.87	$1,927,965	$208,027	$1,719,938

Exterior Walls	18,135	$24.41	$442,675	$47,765	$394,910
Heating & Cooling	19,500	$26.97	$525,915	$56,746	$469,169
2 HVAC for the Hot Boxes Located at 2B and 2C	2	$20,000.00	$40,000	$27,200	$12,800
Basic Structure Cost	**19,500**	**$150.59**	**$2,936,555**	**$339,738**	**$2,596,817**
Extras					
Site Improvements - Depreciated			$118,000	$12,732	$105,268
Replacement Cost New	**19,500**	**$156.64**	**$3,054,555**		
Less Depreciation					
Physical & Functional	11.5%			$352,470	$2,702,085
Depreciated Cost	**19,500**	**$138.57**		**$352,470**	**$2,702,085**
Miscellaneous					
Fence, Chain Link, Vinyl Coat	9,192	$5.13	$47,155		$47,155
Gate, Chain Link	240	$18.60	$4,464		$4,464
Barbed Wire (Add)	1,532	$4.14	$6,342		$6,342
Awning, Metal	200	$14.81	$2,962		$2,962
Paving, Concrete, Reinforced	5,587	$8.91	$49,780		$49,780
Total Cost	**19,500**	**$162.32**	**$3,165,258**	**$352,470**	**$2,812,788**

Cost data by CoreLogic, Inc.

Except for items and costs listed under ◆Addition Details,◆ this SwiftEstimator report has been produced utilizing current cost data and is in compliance with the Marshall & Swift Licensed User Certificate. This report authenticates the user as a current Marshall & Swift user.

CoreLogic

COST APPROACH SCHEDULE

The costs are as obtained from the Swift Estimator Online service along with site improvement actual costs when applicable. To this is added the land value.

Total reproduction cost new:	$2,812,788
Entrepreneurial Profit already realized	
Total Value:	$ 2,812,788
Total Accrued Depreciation:	See above estimate
Plus, Estimated Land Value (via Land Sales Comparison Approach):	
Excess Land	$420,000
Improved Land	$407,000
Subject Property Value Indication Via Cost Approach:	$3,639,788
Rounded To:	**$3,640,000**

SALES COMPARISON APPROACH

Several comparable sales have been obtained for comparative purposes with the subject property. The following pages contain the specific information regarding these sales. Estimated land values for each sale are based upon land sales of similar sizes and locations. Estimated lease rates to determine applicable cap rates are based upon similar office lease rates (market rates) to each individual property at time of sale obtained from leasing agents and lease listings including Crexi, Havens Group, ICA and smaller companies and other appraisers.

SALE NUMBER 1

701 W Murphy St, Odessa, TX 79763

Grantor	First Bank Texas
Grantee	OGF LLC
Recorded	Instrument # 2023-00017387
Legal	ARMCO BLOCK 1 LOT 1
Date of Sale	10/6/2023
Consideration	$2,225,000
Terms	Cash Sale
Cash Equivalent Price	$2,225,000
Price/Leasable SF	$49.82
Property Description	
APN	01050.00010.00000, 04600.00010.00000, 42380.00010.00000, 30800.00010.00000
Land Size	20 AC/ 871,200 SF
Land Value	$320,000
Gross Building Area	44,665 SF
Office	2,520 SF
Warehouse	42,145 SF
Land/Building Ratio	19.5:1
Construction	Metal Construction / Siding, Slab Foundation

Other Features	Corner Lot; Security, Fenced, Lighted Parking
Buildings	3 Buildings (Warehouse, Shop, Office Space)
Year Built	1964
Effective Age	60 years
Condition	Average
Zoning	Light Industrial (LI)

Pro Forma

Gross Potential Income	$368,933
Effective Gross Income	$350,486
Estimated Expenses	$116,510
Estimated Net Income	$233,976

Valuation Guides

Overall Sale Price/SF	$49.82
Overall Capitalization Rate	10.5%

Comments:
West of Crane Avenue, inside the city limits, fenced property with warehouse, shop, office space, 2- 10 ton bridge cranes, 2- 15 tons bridge cranes and 2 - 20 bridge crane, 3-phase power, restrooms, locker rooms, break rooms. Some asphalt paved parking and drives.

SALE NUMBER 2

14450 W Interstate 20, Odessa, TX 79763-8730

Grantor	High Performance Services LLC
Grantee	BKD SIX INVESTMENTS, LLC
Recorded	Instrument # 2025-00001321
Legal	HIGH PERFORMANCE WEST I 20 SOUTH SUB 2ND FILING BLOCK 3 LOT 3
Date of Sale	1/21/2025
Consideration	$2,486,000
Terms	Cash Sale
Cash Equivalent Price	$2,486,000
Price/Leasable SF	$132.94
Property Description	
APN	13990.00320.00000
Land Size	5.00 AC / 217,800 SF
Land Value	$500,000
Gross Building Area	18,700 SF
Office	4,800 SF
Warehouse	13,900 SF
Land/Building Ratio	11.65:1
Construction	Metal/Frame Construction

Other Features	1-20 Frontage, additional shop, office, small apartment, and DOT approved entrances
Year Built	2023
Effective Age	0 years
Condition	New
Zoning	Outside City Limits and ETJ

Pro Forma

Gross Potential Income	$276,000
Effective Gross Income	$262,200
Estimated Expenses	$57,758
Estimated Net Income	$204,442

Valuation Guides

Overall Sale Price/SF	$132.94
Overall Capitalization Rate	8.2%

Comments:
Platted site W of Westcliff and before you get to FM 866. Cleared with a Caliche surface parking and drives. Concrete Canopy and bay drive ramps.

SALE NUMBER 3

8711 W County Rd 127, Midland, TX 79706

Grantor	Midland Allied LLC
Grantee	CS Equity Partners LLC
Recorded	Instrument #2023-2824
Legal	SEC: 16, BLK:40-T2S
Date of Sale	2/10/2023
Consideration	$2,146,226
Terms	Cash to Seller
Cash Equivalent Price	$2,146,226
Price/Leasable SF	$154.40

Property Description

APN	R000208738
Land Size	5.23 AC/ 227,818.8 SF
Land Value	$297,064
Gross Building Area	13,900 SF
Office	4,500 SF
Warehouse	9,400 SF
Land/Building Ratio	16.39:1
Construction	Metal Frame, Metal Siding
Other Features	Skylights, 20-40 ft ceilings, Water well, Septic

Year Built	2013
Effective Age	5 Years
Condition	Above Average overall physical condition
Zoning	Planning Outside city limits, inside ETJ

Pro Forma

Gross Potential Income	$233,520 (estimated)
Effective Gross Income	$221,844
Estimated Expenses	$42,109
Estimated Net Income	$179,735

Valuation Guides

Overall Sale Price/SF	$154.40
Overall Capitalization Rate	8.37%

Comments:
Fully leased industrial flex property. Building 1 is 11,500 SF with 7000 sf Warehouse with 5 Ton Crane and wash bays, 6 pull through doors, 4500 sf offices (14 offices, 2 full baths, and 2 half baths. 2150 sf canopy. Building 2 is a 2400 sf office with a restroom. Located between Midland and Odessa.

SALE NUMBER 4

2627 N Marco Ave, Odessa, TX 79762

Grantor	JLS Business Properties, Ltd
Grantee	2627 N Marco LLC
Recorded	Instrument # 2024-00012409
Legal	MARCO INDUSTRIAL SITES BLOCK 4 LOT 4-6
Date of Sale	7/16/2024
Consideration	$1,650,000
Terms	Conventional
Cash Equivalent Price	$1,650,000
Price/Leasable SF	$92.85
Property Description	
APN	18100.00540.00000, 18100.00550.00000, 18100.00560.00000
Land Size	2.76 AC / 119,964 SF
Land Value	$160,080
Total Gross Building Area	17,770 SF
Office	3,800 SF
Warehouse	13,970 SF
Land/Building Ratio	6.75:1
Construction	Mixed – Two industrial buildings

	(constructed with Brick/Stone/Stucco Veneer and Concrete Slab) and one vacant lot
Other Features	Wash bay, 5 ton crane, dedicated office
Year Built	1982, 1983, 2017
Effective Age	40 years
Condition	Average
Zoning	Future Development Outside city limits, inside ETJ

Pro Forma

Gross Potential Income	$243,094
Effective Gross Income	$230,939
Estimated Expenses	$42,019
Estimated Net Income	$188,920

Valuation Guides

Overall Sale Price/SF	$92.85
Overall Capitalization Rate	11.4%

Comments:

Outside city limits,fenced industrial space with asphalt lot.
Verified MLS CO150782S, Deed Record and ECAD Keith Trower Realtor

SALE NUMBER 5

7726 Boles Rd Odessa, TX 79763

Grantor	Sunland Field Services Inc
Grantee	Hydra Property Group, LLC
Recorded	Instrument # 2023-00007683
Legal	T-2-S BLK 43 SEC 39
Date of Sale	5/3/2023
Consideration	$2,100,000.00
Terms	Cash to Seller
Cash Equivalent Price	$2,100,000.00
Price/Leasable SF	$147.00
Property Description	
APN	42900.00134.00000, 42900.00125.00000
Land Size	21.85 AC / 951,786 SF
Land Value	$1,092,500
Gross Building Area	14,286 SF
Office	3,600 SF
Warehouse	10,686 SF
Land/Building Ratio	66.6:1
Construction	Wood/Metal/Block Frame
Other Features	Main area fenced and gated 5 drive-in bays,

	1 drive through bay
Effective Age	10 Years
Year Built	2006
Condition	Average
Zoning	None Outside city limits, inside ETJ

Pro Forma

Gross Potential Income	$192,861 ($13.50 estimated)
Effective Gross Income	$183,218
Estimated Expenses	$53,196
Estimated Net Income	$130,021

Valuation Guides

Overall Sale Price/SF	$147.00
Overall Capitalization Rate	6.19%

Comments

There appears to be a sale on May 2, 2023 for 2,100,000.00 and another May 3rd for 2,234,400. The Deed has the principal sum of 1,680,000 (80% of 2,100,000). Appraiser cannot verify the May 3rd date with the higher price reported on Crexi. Therefore, the sales price used in the report is the one that can be verified on the deed record with the 80% note which is standard.

SALE NUMBER 6

3813 N County Rd W Odessa, TX 79764

Grantor	Friske Family Properties, Ltd.
Grantee	Fort Worth Parking, LLC
Recorded	Instrument # 2024-00017488
Legal	HARRISDALE BLOCK 4 LOT 4 LESS E 0.32 ACRES LOT 5 LESS E 0.047 ACRES LOT 6 LESS EAST .33 ACRES LOTS 7-9
Date of Sale	9/30/2024
Consideration	$900,000
Terms	Conventional
Cash Equivalent Price	$900,000
Price/Leasable SF	$36.14

Property Description

APN	13600.00440.00000, 13600.00430.00000, 13600.00420.00000, 13600.00410.00000
Land Size	2.44 AC / 106,286.4 SF
Land Value	$97,223
Gross Building Area	24,903 SF
Office	2,000 SF
Warehouse	22,903 SF
Land/Building Ratio	4.27:1
Construction	Mixed Industrial – Metal Construction with

	Concrete Slab Foundation
Other Features	Crane served; facility divided into three buildings with 16,200 SF leased and 8,703 SF vacant; fenced and paved site
Year Built	1959
Effective Age	58 years
Condition	Average
Zoning	None Outside city limits, inside ETJ

Pro Forma

Gross Potential Income	205,699
Effective Gross Income	195,414
Estimated Expenses	$59,441
Estimated Net Income	$135,973

Valuation Guides

Overall Sale Price/SF	$36.14
Overall Capitalization Rate	15.11%

Comments

Property has a total of 16,200SF leased and occupied, and an additional 8,703SF of vacant space. Verified by Realtor (Keith Trower) (Picture on the left is at time of sale. The one on the right is current).

SALE NUMBER 7

6909 FM 1788, Midland, TX 79706

Grantor:	Doshier Property Ventures, LLC
Grantee:	Joval, LLC
Recorded:	Instrument # 2013-25204
Legal:	Acres: 9.460, W/2, SEC: 32, BLK: 40-T2S (Metes and bounds legal)
Date of Sale:	March 25, 2025
Consideration:	$4,100,000
Terms:	Cash Sale
Cash Equivalent Price:	$4,100,000
Price/Leasable SF:	$173.73

Property Description:

APN	R000213632
Land Size:	9.46 acres / 412,378 SF
Land Value:	$1,892,000
Gross Building Area:	23,600 SF
Office	4,800 SF
Warehouse	18,800 SF
Land/Building Ratio:	17.48:1
Construction:	Office and Shop – Finished in 2014; two-story office with an attached shop
Other Features:	Two wash bays; Auto gate; 1–5 ton crane; 8–9 overhead doors; Propane heaters in shop; 4 HVAC units; Fresh paint and new

	carpet in offices
Year Built:	2014
Effective Age:	11 years
Condition:	In good condition
Zoning:	None Outside city limits, potentially in Midland ETJ

Pro Forma:

Gross Potential Income:	$396,000 per year ($33,000 per month NNN)
Effective Gross Income:	$396,000
Estimated Expenses:	$57,195
Estimated Net Income:	$338,805

Valuation Guides:

Overall Sale Price/SF:	$173.73
Overall Capitalization Rate:	8.3%

Comments:

Located approximately 2.5 miles south of I-20 on the east side of FM 1788, It is Under contract for $4,100,000 Cash sale, leased by Central Power on a 5-year NNN lease (with 3% annual bumps) starting August 1, 2024. Taxes: $15,659
No “Vacancy & Collection” rate applied to this Pro Forma based on conversation with the realtor. Verified by Realtor (Tom Sorrells)

COMPARABLE SALES SUMMARY CHART

Sale #	1	2	3	4	5	6	7	Subj
Address	701 W Murphy St Odessa	14450 W Interstate 20 Odessa	8711 W County Rd 127 Midland	2627 N Marco Ave Odessa	7726 Boles Rd Odessa	3813 N County Rd W Odessa	6909 FM 1788 Midland	1227 S Murphy St Odessa
Property Rights	Fee Simple	Leased Fee	Leased Fee	Fee Simple	Fee Simple	Leased Fee	Leased Fee	Fee Simple
Date of Sale	Oct 2023	Jan 2025	Feb 2023	Jul 2024	May 2023	Sep 2024	Mar 2025	
Building Size (SF)	44,665	18,700	13,900	17,770	14,286	24,903	23,600	19,500
Land / Bld Ratio	19.51	11.65	16.39	6.77	66.62	4.27	17.46	10.43
Effective Age	60	0	5	40	10	58	11	15.3
Condition	Average	New	Above Average	Average	Average	Average	Good	Good
Year Built	1964	2023	2013	1982 1983 2017	2006	1959	2014	2001 2006 2011 2014
Office Ratio	5.6%	25.7%	32.4%	21.4%	25.2%	8.0%	20.3%	7.0%
Hoisting	10T (x2) 15T (x2) 20T (x2)		5T	5T	None	~2T	5T	None
Wash Bay	None	None	Yes	Yes	None	None	None	None
Overall $/SF	$49.82	$132.94	$154.40	$92.85	$147.00	$36.14	$173.73	
OAR	10.51%	8.22%	8.37%	11.45%	6.19%	15.11%	8.26%	

Discussion of Improved Sales

Appraiser analyzed various sales throughout Midland and Odessa. The sales utilized and summarized in the chart above were the most comparable sales available. Many market participants have confidential sales information in this non disclosure state. Comparable sales are in Odessa, Ector County, Texas and Midland, Midland County, Texas. To find a value for the subject property, we will utilize the selected sales and then add the excess land value to the value of the improved property (cleared caliche acres and the buildings) to arrive at a market value via the Sales Comparison Approach.

The sizes of the comparables bracket the subject size. The sales have different effective ages and conditions and varying renovations. These factors will be analyzed to determine necessary adjustments.

Inherent in comparable sales data typically include such factors as property right conveyed, financing considerations, expenditures after the sale, market condition, and miscellaneous amenities. Miscellaneous amenities include such factors as improvement size (GBA), age/condition, office ratio, hoist/wash bays and location. Adjusting for variable differences is at best difficult. The following is a list of variables and discussion of each.

Property Rights Conveyed/Conditions of Sale

All the sales were basically arms-length cash to sellers at typical rate transactions. Subject property is owned so the property rights appraised are fee simple, surface only. Property rights sold in the sales listed are both fee simple, surface only and leased fee. Sale No. 's 1, 4 & 5 are all fee simple while the others Sale's No. 2, 3, 6 & 7 are all Leased Fee as they had leases in place at the time of sale. Three of the 4 leased fee sales have the highest price per square foot, while only 1 fee Simple is in that higher range of price per square foot. This may be considered an applicable adjustment factor. In this area, many times the property rights conveyed do not have an impact on sales price but it appears from the data available that for this analysis it does impact the price. Therefore an adjustment of -5% is used for the fee simple sales.

Market Conditions (Time)

Normal trends existed during the time frame of these sales with normal ebb and flow with slight increases and slight decreases. Overall however, there has been a slight increase. The overall adjustments for date of sale are slight at 6% per year or

0.5% per month.

Location

The locations of these sales are in various locations in Odessa, Midland and between the cities. Location adjustment for Interstate 20 access (the 20/80 corridor) tends to drive property appeal. Pairing Sales in Odessa to those in Midland we see a positive adjustment for location between 5% and 20%. A reasonable positive adjustment for locations on Interstate frontage and between the cities of Odessa to Midland is 5% which is only considered slightly superior due to the fact that the subject is also considered to be in near proximity of Interstate 20. Likewise, a negative 15% location adjustment for the inferior location of Sale No. 6 is reasonable as it is not near the Interstate corridor nor between the cities. Properties on the Interstate do tend to sell for more generally.

Age/Condition

The condition of the properties does seem to impact these sales prices for the improvements. Many times the age itself does not seem to impact the values as much as the condition of sales due to renovations, remodeling and general replacement of major systems as needed. Utilizing paired sales from the sales in this report and other sales in the appraiser's file, a negative adjustment is indicated for Sale No. 's 2 and 3, the much newer built properties. A positive adjustment will be utilized for Sales 1, 4, 5, 6 based on age and reported condition to bring the older or average condition properties up to the above average properties which correlates with the subject condition due to effective age. These adjustments seem reasonable for this factor due to the possibility that this adjustment also includes other variables.

Size

As size is analyzed, Real Estate Principles indicate that the smaller the size, the higher the price per unit. Sale No. 1 has the largest square footage and requires the largest adjustment. Sales 2, 4, & 7 are similar enough sizes to warrant no adjustments. Sales 3 & 5 are smaller enough to warrant a negative adjustment to bring in line with subject size. Using paired analysis, multiple pairings were done by the appraiser and by utilizing artificial intelligence to obtain the size adjustments. No across the board adjustments were deemed credible, therefore, each sale that needed adjusting were done relative to the applicable analysis.

Office Ratio/Hoist

The sales with the highest office ratios are among the highest priced sales. The hoisting factor probably has an impact as well but differentiating for office and hoist in this group of sales is not leading to a reasonable or credible pattern. Due to the variances being so large for what seems to have been mostly accounted for in the above adjustments, only a negative 5% adjustment for those sales is office percentages over 20% is warranted for these variables.

As the significant elements of comparison have been discussed and analyzed, they are shown in the chart below.

SALES ADJUSTMENT CHART								
	Subject	1	2	3	4	5	6	7
Date	Current	Oct-2023	Jan-2025	Feb-2023	Jul-2024	May-2023	Sep-2024	Listing
Size (SF)	19,500	44,665	18,700	13,900	17,770	14,286	24,903	23,600
Unit Price		$49.82	$132.94	$154.40	$92.85	$147.00	$36.14	$173.73
TRANSACTION ADJUSTMENTS								
Property Rights		Similar 0% $49.82	Superior -5% $126.29	Superior -5% $146.68	Similar 0% $92.85	Similar 0% $147.00	Superior -5% $34.33	Superior -5% $165.04
Financing Terms		Similar 0% $49.82	Similar 0% $126.29	Similar 0% $146.68	Similar 0% $92.85	Similar 0% $147.00	Similar 0% $34.33	Similar 0% $165.04
Conditions of Sale		Arm's Length 0% $49.82	Arm's Length 0% $126.29	Arm's Length 0% $146.68	Arm's Length 0% $92.85	Arm's Length 0% $147.00	Arm's Length 0% $34.33	Listing 0% $165.04
Market Conditions		Oct-2023 10% $54.80	Jan-2025 0% $126.29	Feb-2023 10% $161.35	Jul-2024 3% $95.64	May-2023 10% $161.70	Sep-2024 3% $35.36	Listing 0% $165.04

PROPERTY ADJUSTMENTS

Location		Similar 0%	Superior -5%	Superior -5%	Similar 0%	Similar 0%	Inferior 15%	Superior -5%
Quality / Condition	Good	Inferior 10%	Superior -10%	Superior -5%	Inferior 5%	Inferior 5%	Inferior 20%	Similar 0%
Size (SF)	19,500	44,665 30%	18,700 0%	13,900 -5%	17,770 0%	14,286 -5%	24,903 5%	23,600 0%
% Office	7.0%	5.6% 0%	25.7% -5%	32.4% -5%	21.4% -5%	25.2% -5%	8.0% 0%	20.3% -5%
Land to Building	10.43	19.51 -5%	11.65 0%	16.39 -5%	6.77 5%	66.62 -15%	4.27 15%	17.46 -10%
Total Adjustment		35%	-20%	-25%	5%	-20%	55%	-20%
Adjusted $ / SF		$73.98	$101.04	$121.01	$100.42	$129.36	$53.22	$132.03
Adjusted Mean $ / SF								$101.58

A value generally in-line with the mean is well supported. $102.00

Improvement Size (SF)	19,500
Value Indication	$1,989,000
Concluded Value - Primary Site and Improvements	$1,989,000

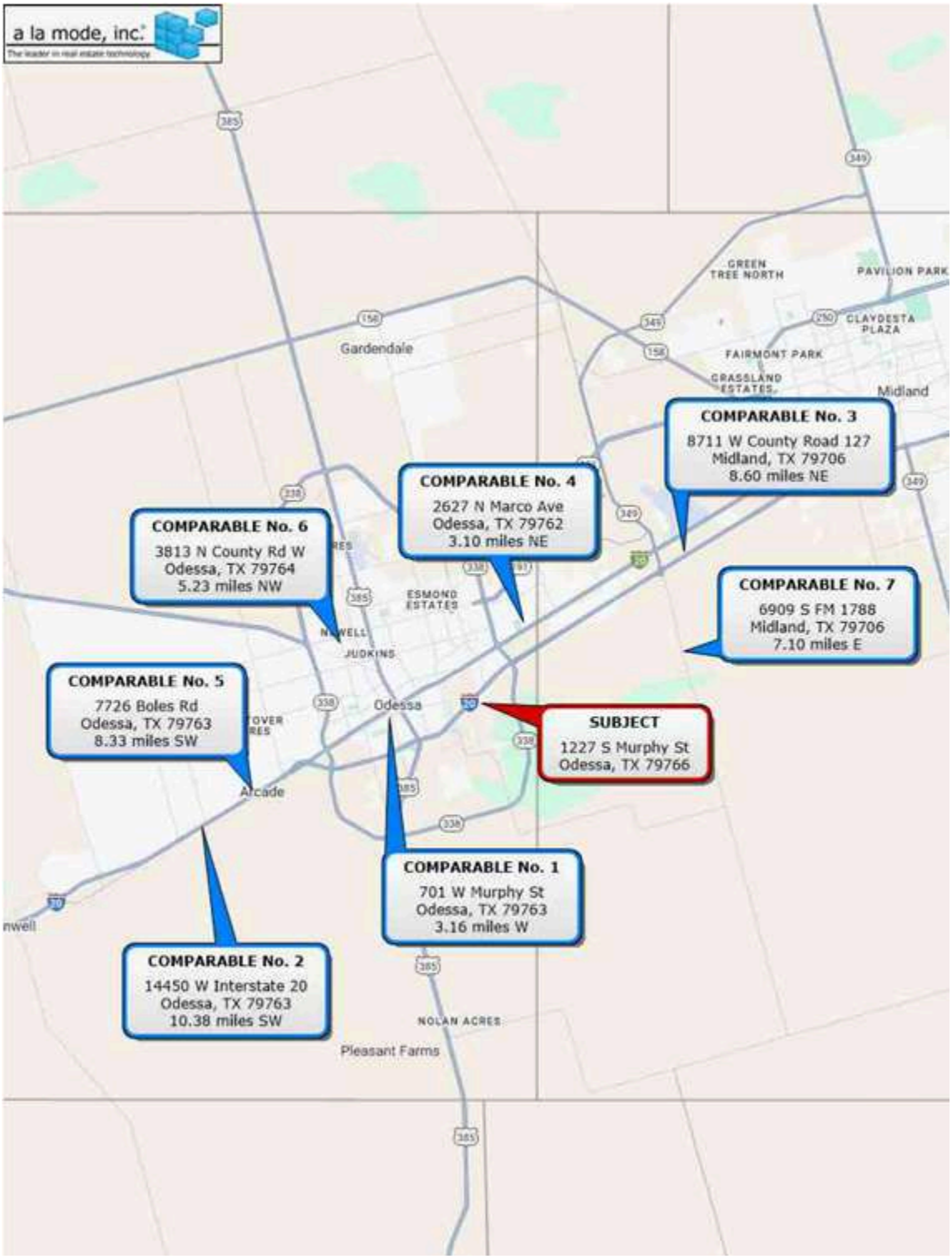
Indicated market values are now charted in an ascending array.

Sale No.	Indicated Market Value
6	$53.22
1	$73.98
4	$100.42
2	$101.04
3	$121.01
5	$129.36
7	$132.03
Mean	$102.00

Based on these sales, the indicated range of value for the subject property is $53.22/SF to $132.03/SF. This means the property with the building improvements is valued between $1,037,790 and $2,574,585. If we eliminate the extremes on each end of the spectrum we have a more reasonable credible value range of $1,958,190 to $2,359,695. The value is generally in-line with the mean and is considered well supported at $102.00/SF or $1,989,000. To this value, the excess land value is added to get the value of the entire property.

Improved Property:	$1,989,000
Excess Land Value:	$420,000
Final Value via Sales Comparison Approach:	**$2,400,000R**

COMPARABLE SALES MAP



INCOME CAPITALIZATION APPROACH

The Income Capitalization Approach is the other method used in estimating an indication of value for the property.

In using the Income Capitalization to value, the appraiser(s) derive a value indication for income-producing properties by analyzing the properties' capacity to generate benefits and converting these benefits into an indication of present value.

The rentals in the following chart were obtained for comparative purposes in order to abstract the subject property's gross potential market rent.

RENT COMPARABLE NO. 1

6909 FM 1788, Midland, TX 79706

Lessor	Doshier Property Ventures, LLC
Tenant	Central Power
APN	R000213632
Lot Size	9.46 Acres (412,077.60 SF)
Rentable SF	23,600 (Office Warehouse)
Office SF	7,800
Lease	
Start Date	August 1, 2024
Terms	$33,000 mo NNN 5 year with 3% increase each year
PSF/YR:	$16.78 NNN
Age/Condition	10/Good
Land/Bld. Ratio:	17.46:1
Comments	Location is approximately 2.5-3 miles south of I-20 on East side of FM 1788. Improvements include 7,800 sf office space (33%) and a 15,800 sf warehouse (67%). Automatic gate, two wash bays, 5 Ton crane, 4 HVAC units and 4 propane tanks in shop Verified by Realtor (Tom Sorrells)

RENT COMPARABLE NO. 2

7601 Industrial Ave Midland, TX 79706

Lessor	Boldercrest Apartment LLC
Tenant	Milford
APN	R000220994
Lot Size	1.27 AC (55,147 SF)
Rentable SF	10,000 (Office Warehouse)
Office SF	1,800
Lease	
Start Date	August 1, 2023
Terms	$14,144/mo NNN
PSF/YR:	$16.97 NNN
Age/Condition	2/Good
Land/Bld. Ratio:	5.5:1
Comments	Built in 2022 according to MCAD. Improvements include 1,800sf office space (18%), 7,200sf warehouse (82%) 3% increase per year. Three drive through bays and a wash bay. Physical Address says 7509 Bldg G. Verified with Realtor (Tyler Hudgens)

RENT COMPARABLE NO. 3

8711 WCR 127 Midland, Texas 79706

Lessor	CS Equity Partners LLC
Tenant	Mersino Dewatering
APN	R000208738
Lot Size	5.23 AC (227,819 SF)
Rentable SF	13,900 (Office Warehouse)
Office SF	6,900
Lease	
Start Date	05/10/2022
Terms	$16,500 / mo NNN, 3 year lease
PSF/YR:	$14.24 NNN
Age/Condition	11/Above Average
Land/Bld. Ratio:	16.39:1
Comments	Built 2013. Fully leased at time of Sale on 2/10/2023 (MLS #J50049739S). Improvements include 2 buildings: Bld 1: 4500 SF office (33%) & 7,000 SF Warehouse (50%), Bld 2: 2400 SF office (17%). Effective age is estimated at 8 years. 5 Ton Crane, and Wash Bays, 6 Pull Through Doors, and one door on the end Verified via PBBR MLS CI50042879R

RENT COMPARABLE NO. 4

2030 E Murphy, Odessa, Texas 79761

Lessor	Rankin Hwy LTD
Tenant	Consolidated Electric
APN	26180.00021.00000, 42400.00200.01100
Lot Size	3.37 Acres (146,740.57 SF)
Rentable SF	22,000 (Office Warehouse)
Office SF	6,000
Lease	
Start Date	November 1, 2023
Terms	5 year lease, NNN
PSF/YR	$13.64 NNN
Age/Condition	58/Average
Land/Bld. Ratio	6.67:1
Comments	Effective age is estimated at 35 years. Verified by Real Estate Manage Company (Janette Midkiff)

RENT COMPARABLE NO. 5

14521 W I 20 Odessa, Texas 79763

Lessor	4 M LLC
Tenant	Sharp Oilfield Services
APN	01843.00010.00000
Lot Size	4.634 AC (201,857.04 SF)
Rentable SF	18,000 (Office Warehouse)
Office SF	5,600
Lease	
Start Date	~8/01/2022
Terms	$24,000 / mo NNN, ~4 months left on the lease
PSF/YR:	$16 NNN
Age/Condition	3/Good
Land/Bld. Ratio:	11.21:1
Comments	Built in 2022, sold 06/14/2023. It has an enclosed 1,000 sf wash bay with 1000 sf plumbed gallon tank grate. 5 Ton Crane added for the tenant. Verified by Realtor (Cassandra Pierce)

RENT COMPARABLE NO. 6

14661 W I-20 Odessa TX 79763

Lessor	4 M LLC
Tenant	Confidential
APN	01843.00050.00000, 01843.00060.00000, 01843.00071.00000
Lot Size	11.086 AC (48,906.16 SF)
Rentable SF	18,732
Office SF	5,760
Lease	
Start Date	September 2024
Terms	$36,900
PSF/YR:	$23.64
Age/Condition	2/Good
Land/Bld. Ratio:	25.78
Comments	The lessee is planning to purchase the property for $3,700,000 in July after a short term lease. If the purchase does not go through then the lease converts to a 5 year lease. Verified by Realtor (Cassandra Pierce).

RENT COMPARABLE NO. 7

7680 W 42nd St Odessa, TX 79764

Lessor	Leslie Ray Gill
Tenant	Infinity Energy Services
APN	42630.00040.01000,
Lot Size	3.41 AC (24,800 SF)
Rentable SF	24,800
Office SF	2,000
Lease	
Start Date	August 2024
Terms	$20,000 / mo, NNN
PSF/YR:	$9.68
Age/Condition	7/Good
Land/Bld. Ratio:	5.99
Comments	Built 2018. 2 buildings, both shops equipped with 3Phase/240V/400 Amp power and LED lighting. Bld 1: 2,000 SF office & 10,800 SF warehouse - 6 private offices, break room, restrooms, and conference room. - 10-ton crane, 4 overhead doors, air plumbing - Separate locker room with shower and restroom. Bld 2: 12,000 SF with 2 overhead doors and big fans. Cantilever gate, security cameras, water well, and septic system. Verified by Realtor (Keith Trower)

INDUSTRIAL RENTAL SUMMARY CHART

Rental #	1	2	3	4	5	6	7	Subj
Address	6909 FM 1788 Midland	7601 Industrial Ave Midland	8711 WCR 127 Midland	2030 E Murphy Odessa	14521 W I 20 Odessa	14661 W I-20 Odessa	7680 W 42nd St Odessa	1227 S Murphy St Odessa
Land/Bld Ratio	17.46	5.51	16.39	6.67	11.21	25.78	5.99	10.43
Bld SF	23,600	10,000	13,900	22,000	18,000	18,732	24,800	19,500
Lot Size AC	9.46	1.27	5.23	3.37	4.63	11.09	3.41	4.67
Wash Bay	Yes	Yes	No	No	Yes	Yes	Yes	No
Office Ratio	33.1%	18.0%	49.6%	27.3%	31.1%	30.7%	8.1%	7.0%
Hoisting	5T	N/A	5T	N/A	N/A	5T	10T	N/A
Age	10	2	5	35	3	2	7	15.3
Condition	Good	Good	Above Average	Average	Good	Good	Good	Good
Rate/SF / YR	$16.78 NNN	$16.97 NNN	$14.24 NNN	$13.64 NNN	$16.00 NNN	$23.64 NNN	$9.68 NNN	
Lease Start	Aug 2024	Aug 2023	May 2022	Nov 2023	Aug 2022	Sep 2024	Aug 2024	

Analysis of the Comparables

These rentals are a good representation of the current local market and were examined to estimate the subject property's gross potential market rent. The rent comparables exhibit office/warehouses of varying sizes, some newer and some similar age/condition, and several locations. Many of these also have apartments like buildings or sections of the buildings. All the leases have been adjusted to or are triple net lease arrangements whereby property owners usually have structural repairs only.

Variable differences include net leasable area, land to building ratio, age/condition, amenities, office ratio and location. The rates are not very consistent. The subject's effective age was figured by their year built multiplied by the percentage of the buildings correspondingly. Only Rental No. 4 is an older building. Rental No. 's 5 & 6 are the closest in size. The highest rate is in Odessa with the one on the east side of Midland next and the one between the cities of Midland and Odessa on FM 1788 being the third highest rate. The lowest rate is for the oldest property which is slightly larger than the subject. Using the comparable rates there is a slight location adjustment for those deemed to be in slightly superior locations.

Another difference in lease rates as shown in the rental chart above is the age/condition factor. Pairing older buildings lease rates in the appraiser's files with the newer building lease rates there is an indicated - 20% to -25% difference. Other analysis from both paired analysis using this group of comparables and an artificial intelligence analysis finds applicable adjustments for varying degrees of this factor. Only the older sale has a small positive adjustment as much of it was still in average condition and has been well maintained.

Subject office percentage is the smallest of any rental found. The closest office percentage was from Rental No. 7 which was added to be most similar to subject for this factor. It is difficult to parse adjustments between the superior office percentage, age/condition, wash bays and hoisting to get adjustments for each component. A higher office percentage typically commands a higher lease rate because the build-out costs and operating expenses for that office area are higher. Conversely, a predominantly warehouse property with minimal office typically leases at a lower rate. The subject has about 7% office area, which is modest. Where a comparable has a significantly higher office ratio, it is considered superior in that regard and warrants a negative adjustment. If it is materially lower, then an upward adjustment might be indicated.Rental No. 3 has the largest office percentage and thus has the highest negative adjustment for this factor.

The land to building ratios seem to be a small factor in the varying lease rates. A higher land-to-building ratio can provide extra yard storage, truck maneuverability, or expansion potential. Often, industrial tenants with heavy equipment or yard needs place a premium on larger sites, especially if it helps with truck access and outside storage. Therefore, if a comparable features a materially larger ratio than the subject, it is generally superior (requiring a negative adjustment). If the comparable ratio is smaller, it is inferior, warranting an upward adjustment.

However, excess land may be an encumbrance to maintain when not able to be utilized for the above listed purposes. Here again in this analysis, the subject's land to building ratio takes into account only the caliche fenced yard supporting the improvements.

Wash Bay: A dedicated wash bay can be a valuable feature in certain oilfield or trucking-related operations, potentially pushing rents higher. If a comparable has a wash bay and the subject does not, that comparable is superior, justifying a downward adjustment.

Hoisting: Facilities outfitted with bridge cranes, hoists, or other heavy-lift capacity typically command a higher rent. The subject lacks a crane or hoisting system, so comparables that do have such equipment are somewhat superior. Thus, we apply a negative adjustment if the comparable has an installed crane or hoist.

The discussed adjustments are indicated in the chart below.

RENTALS ADJUSTMENT CHART

	Subject	1	2	3	4	5	6	7
Condition	Current	Good	Good	Above Average	Average	Good	Good	Good
Size (SF)	19,500	23,600	10,000	13,900	22,000	18,000	18,732	24,800
Annual Rent / SF		$16.78	$16.97	$14.24	$13.64	$16.00	$23.64	$9.68

LEASE ADJUSTMENTS

Expense Structure		NNN	NNN	NNN	NNN	NNN	NNN	NNN
		0%	0%	0%	0%	0%	0%	0%
		$16.78	$16.97	$14.24	$13.64	$16.00	$23.64	$9.68

PROPERTY ADJUSTMENTS

Location		Similar	Superior	Superior	Similar	Superior	Superior	Inferior
		0%	-3%	-3%	0%	-5%	-5%	15%
Age/Condition	Good	Similar	Superior	Superior	Inferior	Superior	Superior	Similar
		0%	-15%	-10%	5%	-20%	-20%	0%
Size (SF)	19,500	23,600	10,000	13,900	22,000	18,000	18,732	24,800
		0%	-5%	-5%	0%	0%	0%	5%
% Office	7.0%	33.1%	18.0%	49.6%	27.3%	31.1%	30.7%	8.1%
		-5%	-3%	-10%	-5%	-5%	-5%	0%
Land to Building	10.43	17.46	5.51	16.39	6.67	11.21	25.78	5.99
		-3%	5%	-3%	5%	-3%	-10%	5%
Wash Bay	None	Yes	Yes	No	No	Yes	Yes	Yes
		-3%	-3%	0%	0%	-3%	-3%	-3%
Hoisting	N/A	5T	N/A	5T	N/A	N/A	5T	10T
		-3%	0%	-3%	0%	0%	-3%	-3%
Total Adjustment		-14%	-24%	-34%	5%	-36%		19%
Adjusted Rent / SF		$14.43	$12.90	$9.40	$14.32	$10.24	$23.64	$11.52
Adjusted Mean $ / SF								$13.78
Adjusted Median $ / SF								$12.90
A value generally in-line with both the mean and median is well supported.						**Concluded Lease Rate**		$13.30
Improvement Size (SF)								19,500
Potential Gross Rental Income - Market								$259,350

Subject is located in the southeast part of Odessa, Texas near the 80/20 corridor (between Hwy 80/Business 20 and Interstate 20)just south of the Interstate frontage road. Utilizing national and local market data indicators and my analysis of these, a 5% vacancy rate will be used. All of these rentals are Triple Net. Without adjustments to the rent comparables, a range of values are indicated between $9.68/SF/YR to $23.64/SF/YR NNN which is a large range. Using the applicable adjustments, the range is similar due to the extreme differences of amenities.

The difficulty in this assessment is to determine the exact impact for the subject's lack of hoist, wash bay and the modest office space when the locations vary so much and the beginning rates are so extreme. For this reason, the rent rate for the subject property is called near the mean and the median. With the property variables taken into consideration, the potential gross income for the subject property is well supported at $13.60/SF/YR with a triple net lease arrangement relying heavily on the location factor of the subject offsetting the aforementioned absences.

INCOME APPROACH SCHEDULE

Potential Gross Income: 19,500 SF @ 13.30SF/Year	$259,350
Less, Vacancy & Collection Allowance: (5%)	($12,968)
Effective Gross Income	$246,383
Less, Taxes and insurance	($50,115)
Taxes ($15,832)	
Insurance ($34,283)	
NET OPERATING INCOME	$ 196,268

VALUATION

Net Income / Capitalization Rate = Value

$196,268 /.09 = $2,180,756

Rounded To $2,181,000

The excess land value is added to this amount for a total of
$ 2,600,000R

OVERALL CAPITALIZATION RATES

The sales utilized in the Sales Comparison Analysis were analyzed in abstracting an overall capitalization rate. The indicated figures are exhibited as follows:

Sale #	Overall
1	10.5%
2	8.2%
3	8.4%
4	11.4%
5	6.2%
6	15.1%
7	8.3%

The range of capitalization rates for the subject indicated by the estimated market rents in the Sales Comparison Approach pro forma analysis is a fairly close range with one outlier, specifically 6.2% - 11.4% with the outlier of 15.1%. The Midland/Odessa Permian Basin Area is considered a tertiary market and no official reports are done by any of the National Cap Rate statisticians. Therefore, the best information available along with the analysis by appraiser of sales with estimated cap rates based on reasonable market rents based on a rental survey, an overall rate of approximately 9% for the subject is considered reasonable as it is near the most predominant rate.

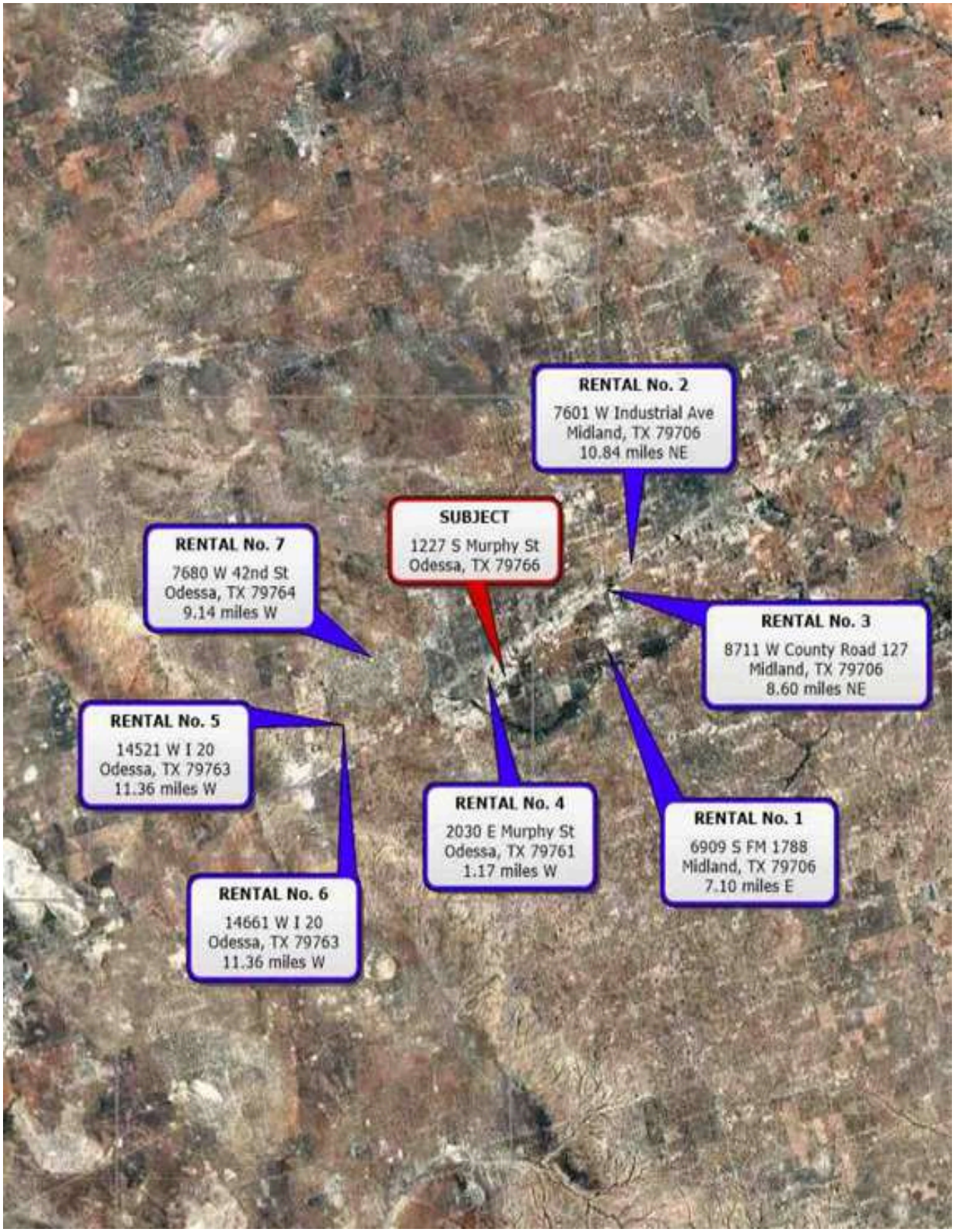
EXPENSE VERIFICATION

Vacancy and Collection Loss - Depending on location, use potential, and various other factors this commercial market normally exhibits a vacancy and collection allowance of 0% - 20. The vacancy allowance considered applicable to the subject is called 5%.

Mgt./Administrative - Professional management firms normally charge a percentage, typically 5% - 10%, of effective gross income (EGI) varying according to the nature of the property. Owners/managers' report a willingness or an allowance for management cost of about 10% of obtainable gross income. This expense includes the actual management, miscellaneous automobile and office expenses, and minor legal and audit expenses. However, with the current use of the building, the taxes and insurance costs associated with the building are the more applicable expenses to account for in the assessment for this factor. Therefore, the current taxes and typical insurance paid is utilized.

Reserves - In this market with the NNN or absolute net lease structure (used interchangeably here) which are common for this type of office space, no reserves are deducted in the income approach.

Rentals Map


RENTAL No. 2
7601 W Industrial Ave
Midland, TX 79706
10.84 miles NE
SUBJECT
1227 S Murphy St
Odessa, TX 79766
RENTAL No. 7
7680 W 42nd St
Odessa, TX 79764
9.14 miles W
RENTAL No. 3
8711 W County Road 127
Midland, TX 79706
8.60 miles NE
RENTAL No. 5
14521 W I 20
Odessa, TX 79763
11.36 miles W
RENTAL No. 4
2030 E Murphy St
Odessa, TX 79761
1.17 miles W
RENTAL No. 1
6909 S FM 1788
Midland, TX 79706
7.10 miles E
RENTAL No. 6
14661 W I 20
Odessa, TX 79763
11.36 miles W

RECONCILIATION

RECONCILIATION AND FINAL VALUE ESTIMATE

The subject property's final estimate of Market Value is determined by the judgment of the appraiser by reconciling the differences to the values indicated by the two approaches to value used in the appraisal.

COST APPROACH TO VALUE	**$ 3,640,000**
SALES COMPARISON APPROACH	**$ 2,400,000**
INCOME CAPITALIZATION APPROACH	**$ 2,600,000**

Each of the approaches contains different strengths and weaknesses. The Cost Approach to Value is not typically relative to properties that are older like the subject. It was developed to give clients perspective on the cost to build a similar property in the area. However, cost to build in this area is varied relative to the builder or developer, exact materials and their availability, shipping costs etc along with entrepreneurial incentive associated with each builder is difficult at best to pin down to an exact value. Depreciation is also difficult to ascertain for older properties. Therefore, this approach to value **will not be given any weight** in the final valuation. It is only included to provide the client with more information for decision making.

The Sales Approach to value was utilized for the subject land as stated previously. Then the Sale Comparison Approach to Value was used for the whole property value. This approach as stated previously only used the caliche fenced land supporting the improvements for the analysis and then the excess land value from the land sales comparison approach was added to it. The Income Approach to Value was also utilized since many of the comparable properties were sold “leased fee” with leases in place at the time of sale. Each of these two approaches were supportive of the other in this analysis of the subject property. Utilizing the market rent calculated, the Sales Comparison Approach and the Income Approach to value are very close. The Sale Comparison Approach is given slightly more value due to the property rights appraised.

Based on the data employed and the reasoning utilized, the estimated Market Value of the Fee Simple Estate is called:

TWO MILLION FIVE HUNDRED THOUSAND DOLLARS
($ 2,500,000)

CERTIFICATION OF VALUE

We certify that, to the best of our knowledge and belief:

The statements of fact contained in this report are true and correct.

The reported analyses, opinions and conclusions are limited only by the reported limiting conditions and assumptions and are my personal, unbiased professional analyses, opinions and conclusions.

We have no present or prospective interest in the property that is the subject of this report and have no personal interest or bias with respect to the parties involved.

Our compensation is not contingent upon the reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.

Our analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice ("USPAP") adopted by the Appraisal Standards Board of the Appraisal Foundation, except that the departure provision of the USPAP shall not apply to federally related transactions.

The use of this report is subject to the requirement of the Appraisal Institute relating to review by its duly authorized representatives.

We have made a cursory personal inspection of the property that is the subject of this report, as well as an exterior inspection of the market comparables listed. The appraiser is not a land, commercial building, or home inspector and this appraisal report is not an inspection, the appraiser only performed a visual observation of accessible areas and the appraisal report cannot be relied upon to disclose conditions and/ or defects in the property.

Doug Lasater (Appraiser Trainee #: TX 1343993 11/30/2026 expiration) provided significant professional assistance to the persons signing or acknowledged by this report. The assistance consisted of measuring, appraisal inspection, data entry, photography, making maps, organizing the work file and other basic assistance.

We currently hold an appropriate state certification allowing the performance of real estate appraisals in connection with federally related transactions in the state in which the subject property is located.

The “Estimate of Market Value” in the appraisal report is not based in whole or in part upon the race, color, or national origin of the prospective owners or occupants of the properties in the vicinity of the property appraised.

This appraisal assignment was not based on a requested minimum valuation, a specific valuation, or the approval of a loan.

We have not performed appraisal services regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

Sincerely,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

ADDENDA

APPRAISER CERTIFICATION

TALCB

TEXAS APPRAISER LICENSING & CERTIFICATION BOARD

Certified General Real Estate Appraiser

Appraiser: **DEANNA HYSON PEDEN**

License #: **TX 1338135 G** License Expires: **09/30/2026**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Occupations Code, Chapter 1103, authorization is granted to use this title: Certified General Real Estate Appraiser

For additional information or to file a complaint please contact TALCB at www.talcb.texas.gov.

Chelsea Buchholtz
Executive Director

E&O INSURANCE

Accelerant National Insurance Company
(A Stock Company)
400 Northridge Road, Suite 800
Sandy Springs, GA 30350

REAL ESTATE PROFESSIONAL ERRORS AND OMISSIONS INSURANCE POLICY DECLARATIONS

NOTICE: THIS IS A "CLAIMS MADE AND REPORTED" POLICY. THIS POLICY REQUIRES THAT A CLAIM BE MADE AGAINST THE INSURED DURING THE POLICY PERIOD AND REPORTED TO THE INSURER, IN WRITING, DURING THE POLICY PERIOD OR EXTENDED REPORTING PERIOD.

DEFENSE COSTS WITHIN LIMITS

THIS POLICY CONTAINS PROVISIONS WHICH LIMIT THE AMOUNT OF CLAIM EXPENSES THE INSURER IS RESPONSIBLE TO PAY IN CONNECTION WITH CLAIMS. CLAIM EXPENSES SHALL BE SUBJECT TO ANY DEDUCTIBLE AMOUNT. THE PAYMENT OF CLAIM EXPENSES WILL REDUCE THE LIMITS OF LIABILITY STATED IN ITEM 4. OF THE DECLARATIONS.

PLEASE READ YOUR POLICY CAREFULLY.

Policy Number: NRE40PL100620-01 **Renewal of:** NRE40PL100620-00

1. **Named Insured**: Basin Appraisals, LLC
2. **Address:** 3106 San Jose Drive
   Odessa , TX 79765
3. **Policy Period**: **From: August 20, 2024** **To: August 20, 2025**
   12:01 A.M. Standard Time at the address of the **Named Insured** as stated in item **2.** Above.
4. **Limit of Liability**:
   A. Each **Claim** Limit of Liability **$ 1,000,000**
   B. Policy Aggregate Limit of Liability **$ 1,000,000**
5. **Deductible:** **$ 5,000** Each **Claim**
6. **Policy Premium:** **$ 1171**
7. **Retroactive Date: August 20, 2016**
8. **Notice to Company**: Notice of a **Claim** or Potential **Claim** should be sent to:
   OREP Insurance Services: info@orep.org
   6353 El Cajon Blvd, Suite 124-605
   San Diego, CA 92115
9. **Program Administrator:** OREP Insurance Services, LLC – info@orep.org
10. **Forms and Endorsements Attached at Policy Inception:** See Schedule of Forms

If required by state law, this policy will be countersigned by an authorized representative of the Company.

Date: July 30, 2024 By: Isaac Peck
Authorized Representative

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